

Cyber Survey Says - Seasonally Soft 1Q

Our VAR survey indicates a small downtick in the demand environment in C1Q (even when adjusting for seasonality). '26 growth expectations were modestly lowered from C4Q (implying some decel vs '25 performance). SASE, Identity, & Cloud are expected to be the fastest growing areas of cyber in '26. CyberArk (benefiting PANW; also new leader in agentic identity), S, NET, & ZS were the best relative performers qoq. PANW retained its lead in SASE.

Biggest Surprises/Things We're Monitoring. 1) Overall, the average performance vs plan across our coverage materially worsened in C1Q relative to C4Q with the average delta in performance to plan down 1.6% (note we believe a considerable portion of this is attributable to seasonality as this decline was only 40 bps worse than last year); 2) Only CyberArk (now acquired by PANW) had a positive qoq delta for either average performance to plan or net score; S, NET, and ZS had the most modest qoq declines (outperformed seasonality & relatively vs other vendors); 3) PANW's performance to plan sequential change was second worse in our coverage at down 3.4% (though it still remains one of the best performers on an absolute basis); 4) VM and Identity (aside from CyberArk) performed poorly on a relative basis; 5) On average, net score expectations for acceleration in 2H vs 1H was +20% (% accelerate - % decelerate), which we view as constructive.

2026 Cyber Growth Revised Modestly Downward. Our cohort suggested cyber grew 8.7% yoy in 2025 with expectations for growth to modestly decel to 7.1% yoy in 2026. We note our previous survey showed 9.8% yoy growth in 2025 with expectations for 9.3% yoy growth in 2026. While moderation certainly dampens hopes for material fundamental inflection in the near term, we believe the overall growth profile remains healthy in the high single digits. SASE remains the area of cyber expected to grow fastest in 2026, followed by Identity (prev 3rd), & Cloud (prev 2nd).

Parsing Out Gen AI Impacts. Cloud Security continues to be the area expected to receive the most investment to ensure the security of Gen AI (consistent with last four Qs). Email Security, Endpoint Security, & SASE/Hardware Firewalls were selected as most insulated from LLM risk (based on perceived likelihood that a customer would purchase from LLM provider) while Threat Intelligence, Code Security, and Vulnerability Management were selected as the top three areas with perceived risk. This also generally aligns with our CIO survey work and other channel checks.

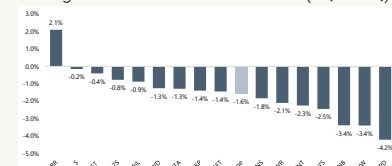
Agentic Identity Winners. CyberArk overtook MSFT as the leader for the right to win the agentic identity security market with 44% selections to MSFT's 32% (respondents could select up to 3 vendors). SAIL and OKTA both received selections by 16% of respondents (modest uptick for OKTA).

Firewall Update. Our survey continues to indicate expectations for hardware firewalls to be the slowest grower in 2026, which contradicts some channel check discussions we have heard around strength driven by modest pull forward. 53% of VARs responded that the refresh cycle is occurring or will occur later in 2026 (18% in 1H; 35% in 2H), while another 34% believe the refresh cycle will occur in 2027 (previously selected by 21% of respondents & indicative of sustainable demand).

Seasonality Sanity Check. While the avg 160 bps sequential decline in performance to plan vs 4Q may be concerning on the surface, note it is only 40 bps worse than 1Q25, indicating that results are likely more indicative of seasonal softness than widespread degradation in performance (See Chart 2). That said, it reinforces that the benefit related to securing AI is still off in the future.

Chart 1 - Average performance to plan delta was down 1.6%, with only CyberArk showing improvement

Average Performance to Plan Delta (1Q vs 4Q)



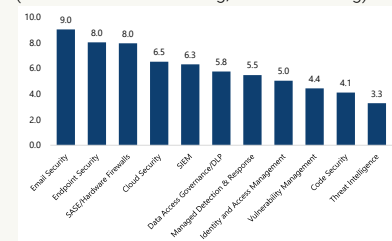
Source: Jefferies Proprietary Security VAR Survey (Apr '26 & Jan '26, N=25)

Chart 2 - Average performance to plan delta (Adjusting for Seasonality); CyberArk, NET, and VRNS posted the strongest adjusted performances

	1Q26 Performance Delta QoQ	1Q25 Performance Delta QoQ	1Q26 vs 1Q25
CYBR	2.1%	-0.9%	3.0%
NET	-0.4%	-2.0%	1.6%
VRNS	-1.8%	-3.4%	1.5%
MSFT	-1.4%	-2.8%	1.3%
ZS	-0.8%	-1.2%	0.4%
S	-0.2%	-0.4%	0.2%
OKTA	-1.3%	-0.9%	-0.4%
Average	-1.6%	-1.2%	-0.4%
QLYS	-2.5%	-1.8%	-0.6%
CRWD	-1.3%	-0.5%	-0.7%
FTNT	-2.3%	-0.7%	-1.5%
CHKP	-1.4%	0.2%	-1.6%
RPD	-4.2%	-1.9%	-2.3%
PANW	-3.4%	-0.6%	-2.8%
TENB	-3.4%	-0.5%	-2.9%
SAIL	-0.9%	N/A	
RDWR	-2.1%	N/A	

Source: Jefferies Proprietary Security VAR Survey (Apr '26, Jan '26, Apr '25, Jan '25, N=25)

Chart 3 - VARs: Customers Least Willing To Buy Email Security, Endpoint Security, & SASE/Hardware Firewalls From LLM Providers
(Ranked: 11 = least willing; 1 = most willing)



Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25)

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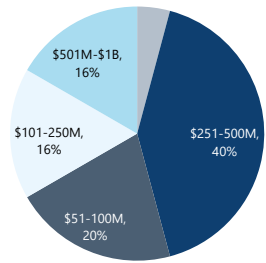
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Survey Details

We surveyed 25 Value Added Resellers (VARs) who specialize in the cyber industry. The respondents work for organizations of all sizes ranging from \$26-50M in cyber revenue to over \$1B. Note we did not survey respondents with fewer than \$25M in cyber revenue given these organizations might be too small and may not be fairly representative of the overall spending environment.

- We highlight that approximately 12% of the respondents service organizations with 1-99, 20% with 100-499, 20% with 500-999, 40% with 1,000-2,499, 24% with 2,500-4,999 and 20% over 5,000+ employees. Note we only let the distributors select the two most relevant customer size demographics. See Chart 6.
- We highlight that approximately 68% of the respondents service organizations have relevant business in North America, 12% in Latin America, 48% in Europe, Middle East, and Africa, 8% in Japan, and 4% in Asia ex Japan. We allowed survey recipients to select all that were applicable for geographies. See Chart 5.
- Note we conducted this survey in the first week of April, so results are not completely indicative of final results for off Q companies that end on April 30th.
- The vast majority of the respondents in our 1Q survey also participated in our 4Q survey. This overlap in respondents, while not always 100% perfect, allows us to draw comparisons between surveys with a high degree of confidence.
- While our surveyed partners represent a limited sample size, leaving room for inaccuracies, we nevertheless believe that their relationships with these cyber companies help provide some unique perspectives on overall business trends.

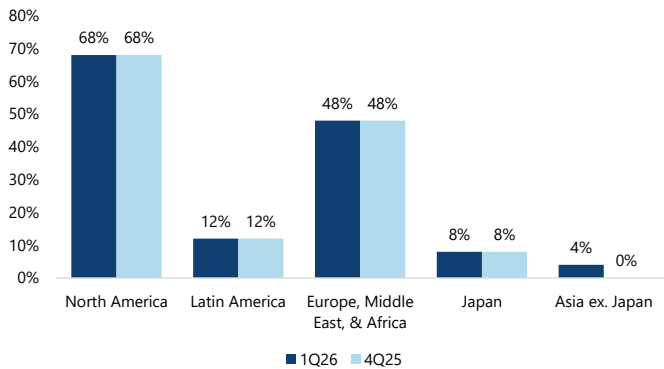
Chart 4 - 1Q Survey - How large was your cybersecurity business (\$ Rev) in calendar 2025?



Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25)

Chart 5 - 68% of respondents have relevant business in North America

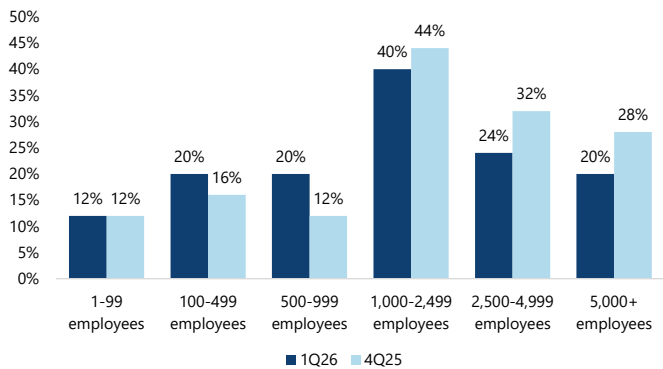
For your cybersecurity practice which sales regions are applicable (1Q vs 4Q survey)



Source: Jefferies Proprietary Security VAR Survey (Apr '26 & Jan '26, N=25)

Chart 6 - 20% of respondents's clients have a majority of >5K employees

Which employee size range best identifies the majority of your clients? (1Q vs 4Q survey)

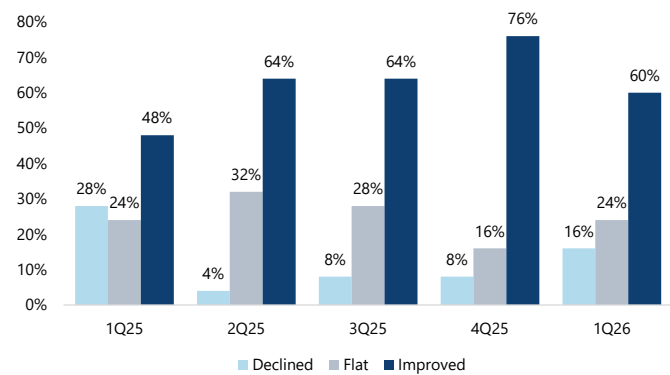


Source: Jefferies Proprietary Security VAR Survey (Apr '26 & Jan '26, N=25)

We asked respondents how their pipelines have changed over the past three months (Feb, Mar, & Apr). 60% of respondents noted that their pipelines had improved, 24% noted it was flat, and 16% saw a decline. See Chart 7 below. These results are worse vs the responses we received in our 4Q survey when asking about pipeline changes in Jan, Dec, & Nov, albeit still indicative of healthy customer spend optimism (note these results are improved vs 1Q25 which may indicate some seasonality in responses).

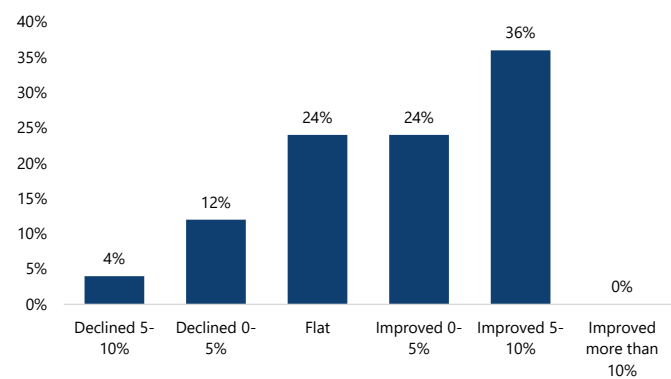
We also show the distribution of results with 4% saying it declined between 5% and 10%, 12% saying it was down 5% to flat, 24% saying it was flat, 24% saying it was flat to up 5%, 36% saying it improved between 5% and 10%, and 0% saying it improved by more than 10%. If we take the average of each bucket, we deduce that pipelines were up 2.7% in 1Q, down vs +4.4% in 4Q. See Chart 8 below. **Net Neutral.**

Chart 7 - 60% of respondents noted that their pipelines had improved in the past 3 months vs 3 months prior
Has your cybersecurity business pipeline changed in April, March, and February when compared to January, December, and November and by how much?



Source: Jefferies Proprietary Security VAR Survey (Apr '26, Jan '26, Oct '25, Jul '25, Apr '25, N=25)

Chart 8 - 16% of respondents noted that their pipelines had worsened in the past 3 months vs 3 months prior
Has your cybersecurity business pipeline changed in April, March, and February when compared to January, December, and November and by how much?



Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25)

2026 Growth Expectations. VAR cyber growth expectations for 2026 were lowered from our 4Q survey and the initial read in our 3Q survey. **We calculate an average expected growth rate of 7.1% yoy for 2026 vs the prior 2026 expectations for 9.3% in 4Q. See Chart 10. This would be a modest deceleration from our respondents' 8.7% yoy growth in 2025. See Chart 11.**

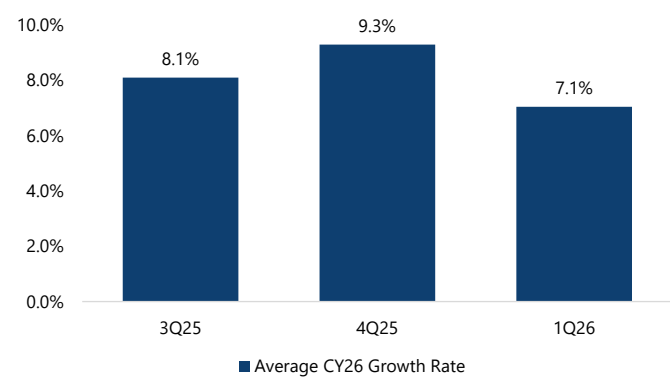
- We assume an average growth rate for each bucket as well as 40% for 30%+ (as seen in Chart 9 to the right). The caveat to the above approach is that it does not weight for size of the businesses, but on the whole it is an indicator of the security market's growth resiliency.

Chart 9 - Assumed Growth Rates for Average Growth Calculation

Range	Midpoint
Down 30%+	(40.00%)
Down 22.51%-30%	(26.25%)
Down 15.01%-22.5%	(18.75%)
Down 7.51%-15%	(11.25%)
Down 0-7.5%	(3.75%)
Flat	0.00%
Up 0-7.5%	3.75%
Up 7.51%-15%	11.25%
Up 15.01%-22.5%	18.75%
Up 22.51%-30%	26.25%
Up 30%+	40.00%

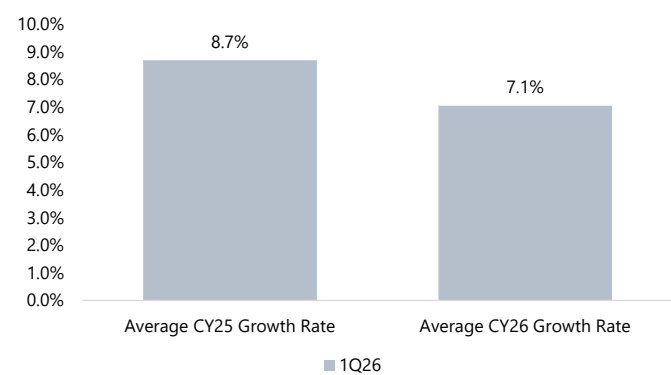
Source: Jefferies

Chart 10 - Growth Expectations for 2026 Modestly Lowered
What are your overall cybersecurity business revenue growth plans for calendar 2026 vs. 2025?



Source: Jefferies Proprietary Security VAR Survey (Apr '26, Jan '26, Oct '25 (N=25))

Chart 11 - 2026 Growth Expected to be Modestly Slower than 2025 Growth
What are your overall cybersecurity business revenue growth plans for calendar 2026 vs. 2025? How did your overall cybersecurity business rev grow in calendar 2025 vs. 2024?

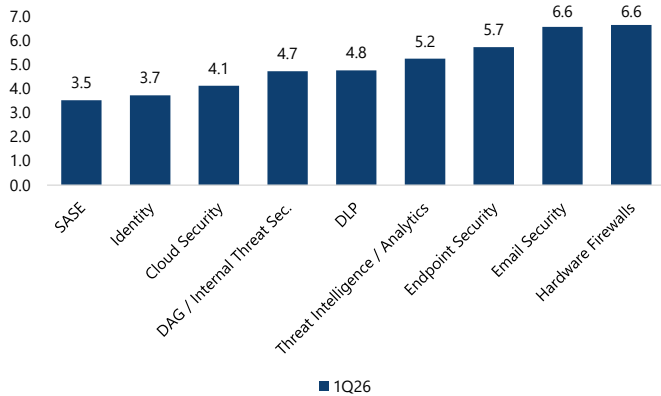


Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=25))

Areas of Growth in 2026. We surveyed participants to see which areas of their cyber portfolios they expect to see grow the fastest in 2026. The results indicated that on average our respondents expect their SASE product to grow the fastest (in line with 4Q Survey), with 28% of respondents calling it out as their number one area of expected growth in 2026. Identity and Cloud Security rounded out expectations for the top three areas of growth in 2026. These results are positive for the leaders in the SASE (PANW/ZS), Identity (PANW via CYBR, SAIL, OKTA), and Cloud (CRWD/PANW/ZS) markets. Hardware firewalls were the slowest growth area noted which may hinder PANW/FTNT/CHKP or at least accelerate a mix shift to virtual form factors. This is also interesting given it contradicts our recent conference checks showing some pull forward benefit and physical appliance hardware strength. Identity improved noticeably, which we believe could be an indicator of expectations regarding AI uptake (levered to benefit Identity) proliferating (though we would still expect to see true materialization in 2027+).

Chart 12 - 1Q Survey - SASE Expected to be Fastest Growing Area of Cyber in 2026; Identity Upticks

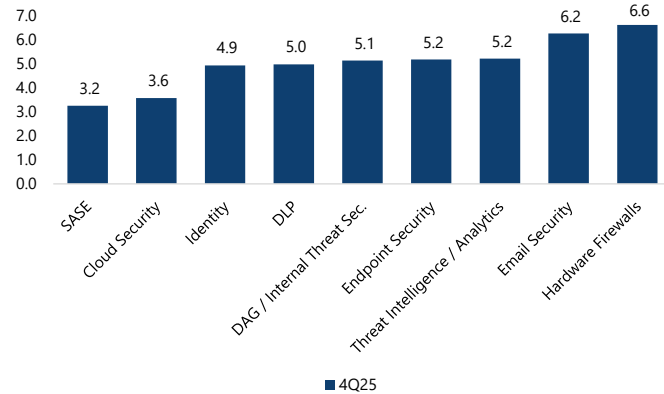
1Q Survey - Which areas of your cyber product portfolio do you expect to grow the fastest in 2026? (1 = fastest growing area)



Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25); Note: DLP - Data Loss Protection, DAG - Data Access Governance

Securing Gen AI. Cloud security was chosen as the area of cyber most likely to be invested in to secure Gen AI, in line with our 4Q survey. Threat Intelligence moved into second place, with DLP third (note that Identity, DAG, and SASE were all close behind). Gen AI adoption has accelerated demand for cloud (LLMs must be run via a hyperscaler), and likely in turn will require more deployment of cloud security solutions.

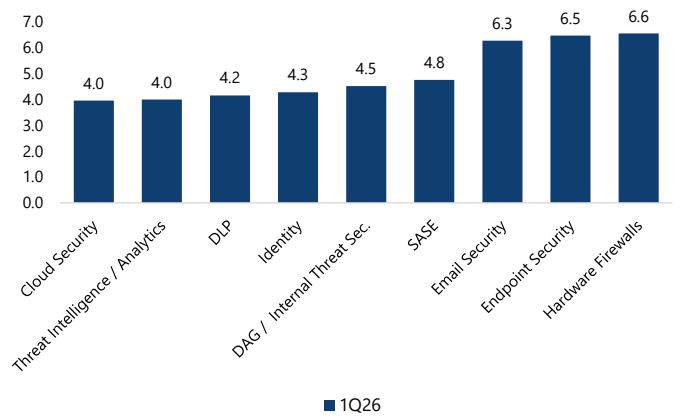
Chart 13 - 4Q Survey - SASE Expected to be Fastest Growing Area of Cyber in 2026
4Q Survey - Which areas of your cyber product portfolio do you expect to grow the fastest in 2026? (1 = fastest growing area)



Source: Jefferies Proprietary Security VAR Survey (Jan '26, N=25); Note: DLP - Data Loss Protection, DAG - Data Access Governance

Chart 14 - 1Q Survey - Cloud Security most likely cyber investment area to secure Gen AI

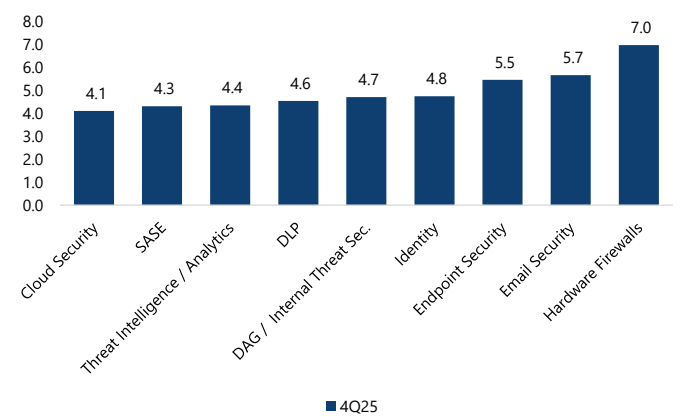
What areas of cyber will your customers invest in the most to ensure the security of Gen AI? (1 being most incremental and 9 being least)



Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25)

Chart 15 - 4Q Survey - Cloud Security most likely cyber investment area to secure Gen AI

What areas of cyber will your customers invest in the most to ensure the security of Gen AI? (1 being most incremental and 9 being least)

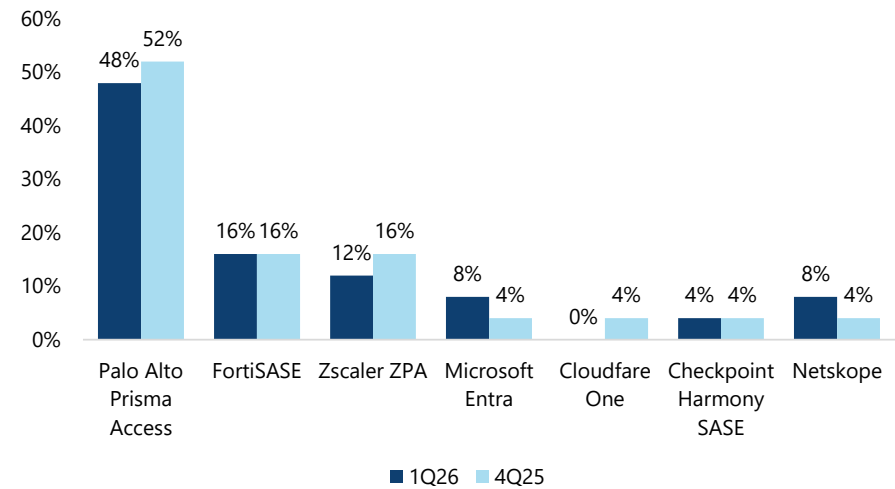


Source: Jefferies Proprietary Security VAR Survey (Jan '26, N=25)

PANW leads SASE. PANW was the vendor that saw the most momentum as a single-vendor SASE solution in the past 3 months. FTNT received 16% of responses and ZS received 12% of responses, though it remains evident that PANW has a strong position in unified SASE mindshare.

Chart 16 - PANW seeing the strongest unified SASE momentum

Who is seeing the most momentum as a single-vendor SASE solution over the last three months?

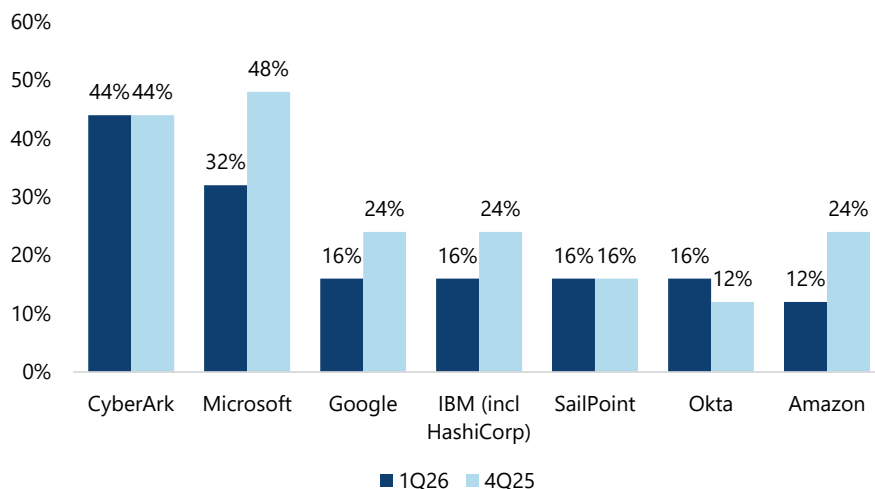


Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=25), Jan '26 (N=25))

Who Will Win Agentic Identity Security? We asked respondents for who amongst identity vendors they thought was the most likely to win the agentic security market and who they expected to see the biggest benefit to their business from it (note that respondents were given the option to select up to 3 vendors). CyberArk was the leader of our survey at 44%, with Microsoft in second at 32% (though this is less than the 48% seen in 4Q). While further behind, SAIL (16%) and OKTA (16%) also received endorsements for agentic security benefit, with OKTA modestly upticking.

Chart 17 - CyberArk & MSFT Atop Podium for Agentic Identity Security Winners

Who has the right to win the agentic identity security market? Who do you expect to see the biggest benefit to their business from agentic identity security?

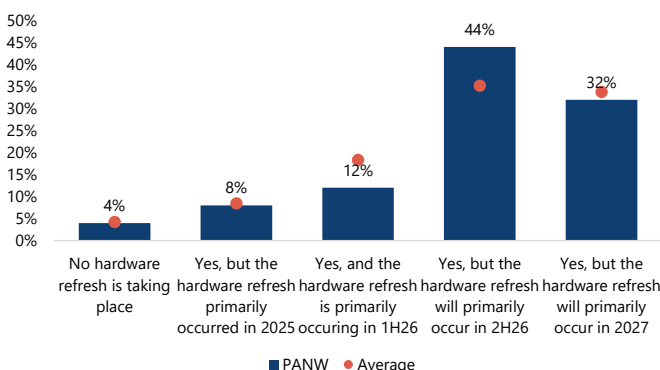


Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25)

Hardware Refresh. On average, 53% of VARs expect hardware refresh to primarily occur in 2026 (18% in 1H; 35% in 2H). 13% of VARs selected that no hardware refresh is taking place or that the hardware refresh primarily occurred in 2025. **The remaining 34% of VARs, on average, believe that the hardware refresh will primarily occur in 2027.** We believe that while the timing skews to 2H26, this bodes well for eventual product refresh activity for FTNT/PANW/CHKP. See Charts 18-20 for company specific breakouts. CHKP & FTNT both have stronger expectations for 1H26 refresh (low 20s % of respondents) while PANW appears to have a larger refresh opportunity in 2H26 (44% of respondents).

Chart 18 - 56% of respondents expect PANW hardware refresh primarily to occur in 2026

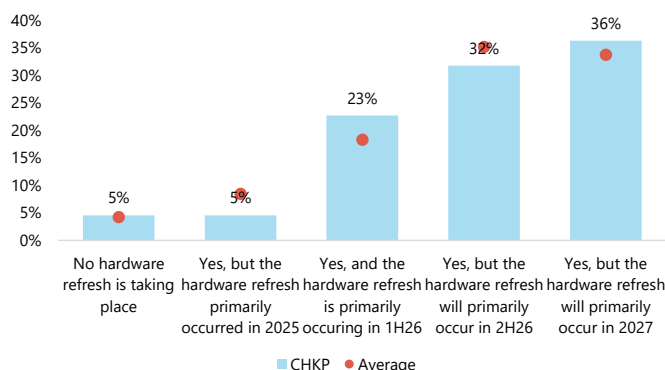
Are you seeing a hardware refresh for the below listed vendors and if yes when do you expect the benefit?



Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25)

Chart 19 - 55% of respondents expect CHKP hardware refresh to primarily occur in 2026

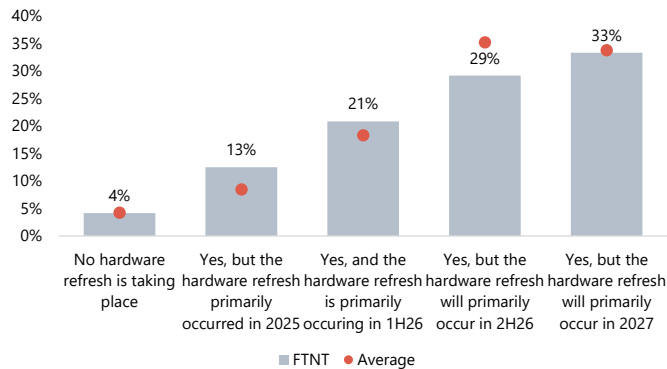
Are you seeing a hardware refresh for the below listed vendors and if yes when do you expect the benefit?



Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=22)

Chart 20 - 50% of respondents expect FTNT hardware refresh to primarily occur in 2026

Are you seeing a hardware refresh for the below listed vendors and if yes when do you expect the benefit?



Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=24)

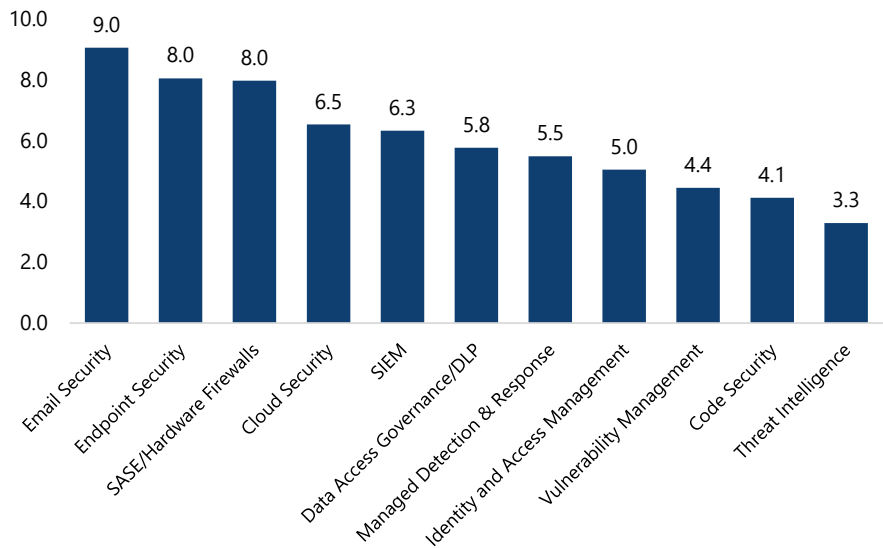
Which Areas of Cyber Would Customers Potentially Purchase From LLM Providers? We asked respondents to rank each area of cyber based on customer willingness to purchase from an LLM provider if said provider were to offer a solution in the future (note lower score = more willing). The results largely coincide with our expert calls, channel checks, and other prior survey work we have done. Note that we previously asked the same question to 30 CIOs in our CIO survey (see note [here](#)).

Email Security, Endpoint Security, and SASE/Hardware Firewalls were selected as the three areas that VARs would least expect customers to be willing to purchase from an LLM provider (in-line with CIO Survey where these areas were each only selected by up to 3 respondents). The only area in which we saw meaningful discrepancy was Identity, which previously screened as the most insulated area in our CIO Survey (which we still believe holds significant weight). We would also note that we believe it's less likely that LLM providers make a true push into core Identity, although some areas such as ITDR, which is more analytical, could be logical.

Threat Intelligence, Code Security, and Vulnerability Management were selected as the top three areas that VARs would expect customers to be most willing to purchase from an LLM provider (Threat Intelligence and Code Security were also top two in CIO survey). These areas also generally coincide with areas that Anthropic and OpenAI are focusing cyber efforts, which we have detailed [here](#).

Chart 21 - VARs: Customers Least Willing To Purchase Email Security, Endpoint Security, & SASE/Hardware Firewalls From LLM Provider Offering A Solution; Most Willing to Purchase Threat Intelligence, Code Security, & Vulnerability Management

What areas of cyber would your customers be most willing to consider purchasing from an LLM provider (Anthropic/OpenAI) if they were to offer a solution in the future? (Ranked: 11 = least willing; 1 = most willing)

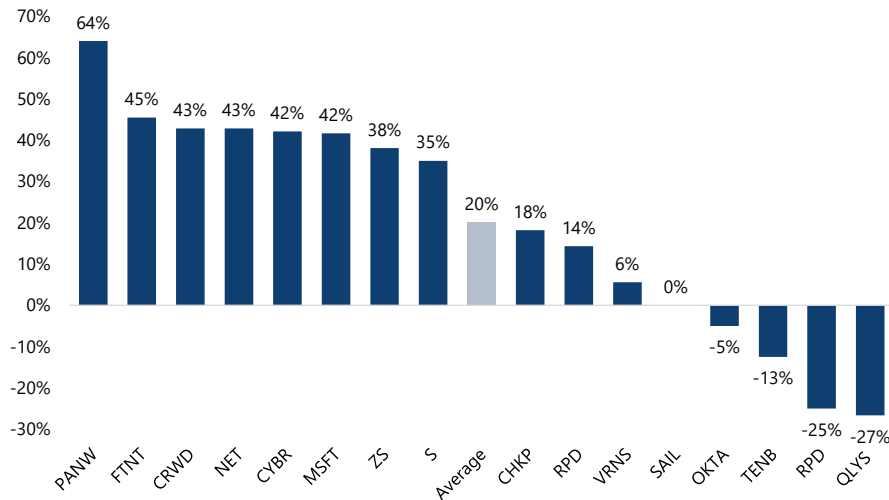


Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25)

Which Areas of Cyber Are Expected To Accelerate in 2H26? In addition to our typical monitoring of quarterly performance, we asked respondents whether they expected 2H spend to accelerate, stay the same, or decelerate vs 1H for the respective cyber vendors, in order to gain a more visible outlook into the remainder of CY26. We deduced net scores based on the percentage of "Accelerate" responses less the percentage of "Decelerate" responses. PANW was the standout with a net score of 64%, while other platforms, Network/SASE, and Endpoint names typically performed above average. Identity screened more neutral (a bit surprising although CyberArk screened very well), while VM names, on average, received more deceleration responses. We view the average net score of 20% as a net positive indicator for 2H cyber demand.

Chart 22 - Expectations For 2H vs 1H Spend: Average Net Score = 20%; PANW Widely Expected To Accelerate At 64%

Would you expect cyber spend for the following vendors to accelerate or decelerate in 2H26 vs 1H26?

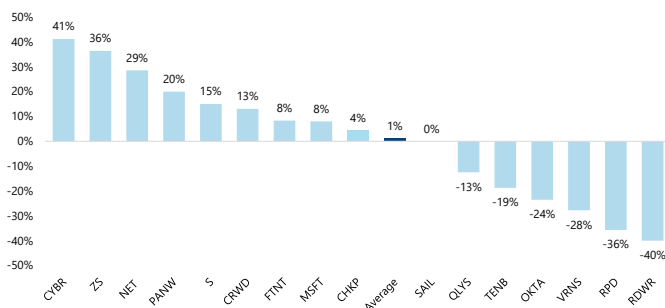


Source: Jefferies Proprietary Security VAR Survey (Apr '26)

1Q Performance Versus VAR Expectations. In order to help quantify the performance of each vendor according to the VAR feedback, we created the net percentage, which we calculate as the total percentage of VARs above plan minus the total percentage below plan. While this does not account for size of the VAR nor the magnitude of the % above or below plan, we believe it is indicative of the direction of performance in the Q. Below you can see that **CyberArk (recently acquired by PANW), ZS, and NET with a score of 41%, 36% and 29% are the top performing vendors this Q.** See Chart 23.

Chart 23 - 1Q Survey - Cyber Demand Mixed with 1% the average net percentage seen across all 16 vendors

net percentage = total percentage above plan minus the total percentage below plan



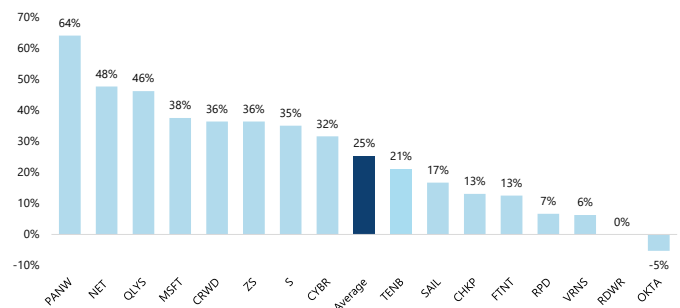
Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25)

We compare the delta between performance (% of VARs above plan - % of VARs below plan) in our 1Q survey and our 4Q survey by vendor to gauge the level of change in performance qoq (Chart 25). There was a stark contrast in 1Q vs 4Q performance, evidenced by the average net performance delta of down 24%. While these results were a bit surprising considering our other channel checks have been more positive, we attribute some of this delta to seasonality. Likewise, we believe that VARs' 2H expectations screen more positively. Looking at net percentage, **CyberArk (recently acquired by PANW) saw the only improvement qoq, while ZS was flat. QLYS, PANW, and RPD saw the greatest qoq deceleration.**

Seasonality Sanity Check. While the average 24 pt sequential decline in net percentage vs 4Q is concerning on the surface, note that 1Q25 also saw a meaningful decline, indicating that results

Chart 24 - 4Q Survey - Cyber Demand Healthy with 25% the average net percentage seen across all 16 vendors

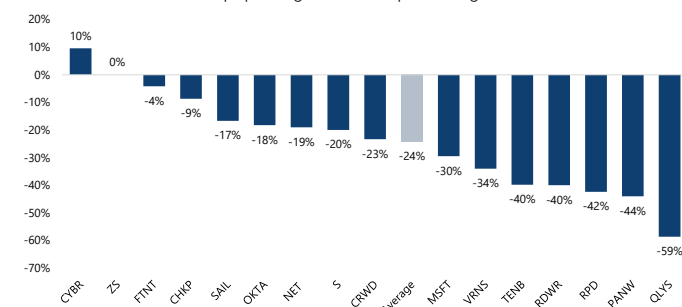
net percentage = total percentage above plan minus the total percentage below plan



Source: Jefferies Proprietary Security VAR Survey (Jan '26, N=25)

are more indicative of seasonal softness than widespread degradation in performance. That said, it reinforces that the benefit related to securing AI is still off in the future.

Chart 25 - Average delta in net performance to plan was down 24%, with only CyberArk showing improvement and ZS flat
net percentage = total percentage above plan minus the total percentage below plan.
This Chart measures the qoq change in the net percentage



Source: Jefferies Proprietary Security VAR Survey (Apr '26, Jan '26, N=25)

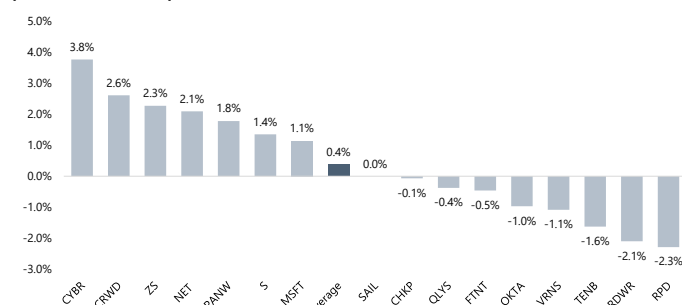
Chart 26 - Average delta in net performance to plan was down 15% in 1Q25; CyberArk, VRNS, and NET posted the strongest seasonally adjusted deltas in net performance to plan

	1Q26 Net % Delta QoQ	1Q25 Net % Delta QoQ	1Q26 vs 1Q25
CYBR	10%	-19%	28%
VRNS	-34%	-53%	19%
NET	-19%	-37%	18%
OKTA	-18%	-28%	10%
FTNT	-4%	-7%	3%
MSFT	-30%	-28%	-1%
CRWD	-23%	-18%	-5%
Average	-24%	-15%	-10%
ZS	0%	21%	-21%
TENB	-40%	-18%	-22%
RPD	-42%	-20%	-23%
CHKP	-9%	15%	-24%
S	-20%	9%	-29%
QLYS	-59%	-21%	-37%
PANW	-44%	0%	-44%
SAIL	-17%		N/A
RDWR	-40%		N/A

Source: Jefferies Proprietary Security VAR Survey (Apr '26, Jan '26, Apr '25, Jan '25, N=25)

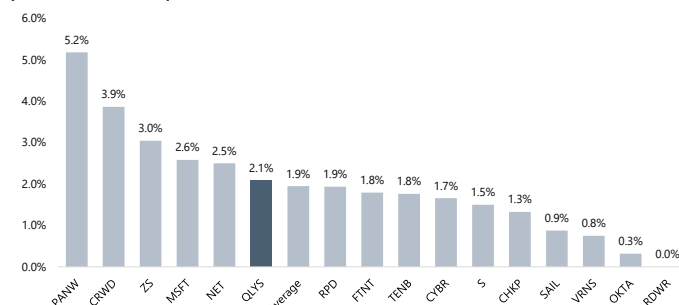
To try to further extrapolate quantitative performance, we also derived an average performance relative to plan where we took the % of respondents that selected a category and multiplied that by the average percentage in that range (for example we would use 7.5% if a respondent selected above plan by 5-10%). **Based on our calculation the top performers were CyberArk (recently acquired by PANW), CRWD, and ZS while RPD, RDWR, and TENB were the bottom performers.**

Chart 27 - 1Q Avg Performance Relative to Plan - CyberArk, CRWD, and ZS are top performers in the quarter



Source: Jefferies Proprietary Security VAR Survey (Apr '26, N=25)

Chart 28 - 4Q Avg Performance Relative to plan - PANW, CRWD, & ZS are top performers in the quarter



Source: Jefferies Proprietary Security VAR Survey (Jan '26, N=25)

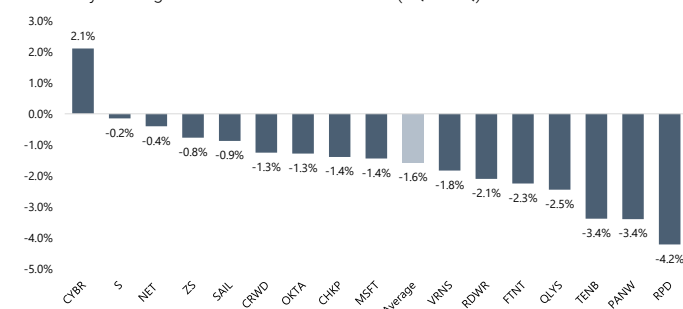
We compare the delta between the average performance to plan in our 1Q survey and our 4Q survey by vendor to gauge the level of change in performance qoq. Looking at average performance relative to

plan, **CyberArk** (recently acquired by **PANW**) was the only vendor to see improvement qoq. **S**, **NET**, **ZS**, and **SAIL** followed behind, all with deltas down less than 1%. **RPD**, **PANW**, and **TENB** saw the largest declines qoq for our pure play cyber vendors. We reiterate that while these results skew more cautious for cyber, other channel checks we have conducted have been more constructive.

Seasonality Sanity Check. While the average 160 bps sequential decline in performance to plan vs 4Q is concerning on the surface, note that it is only 40 bps worse than what we calculated in 1Q25, indicating that results are more indicative of seasonal softness than widespread degradation in performance (See Chart 30). That said, it reinforces that the benefit related to securing AI is still off in the future.

Chart 29 - Average performance to plan delta was down 1.6% with only CyberArk showing improvement

Jef Survey: Average Performance to Plan Delta (1Q vs 4Q)



Source: Jefferies Proprietary Security VAR Survey (Apr '26 & Jan '26, N=25)

Chart 30 - Average performance to plan delta was down 1.2% in 1Q25; CyberArk, NET, and VRNS posted the strongest seasonally adjusted performance to plan deltas

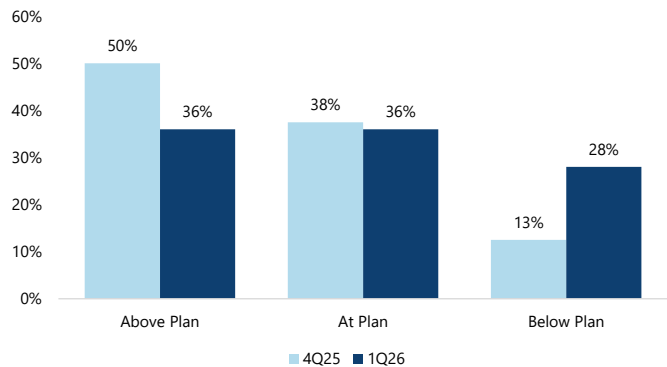
	1Q26 Performance Delta QoQ	1Q25 Performance Delta QoQ	1Q26 vs 1Q25
CYBR	2.1%	-0.9%	3.0%
NET	-0.4%	-2.0%	1.6%
VRNS	-1.8%	-3.4%	1.5%
MSFT	-1.4%	-2.8%	1.3%
ZS	-0.8%	-1.2%	0.4%
S	-0.2%	-0.4%	0.2%
OKTA	-1.3%	-0.9%	-0.4%
Average	-1.6%	-1.2%	-0.4%
QLYS	-2.5%	-1.8%	-0.6%
CRWD	-1.3%	-0.5%	-0.7%
FTNT	-2.3%	-0.7%	-1.5%
CHKP	-1.4%	0.2%	-1.6%
RPD	-4.2%	-1.9%	-2.3%
PANW	-3.4%	-0.6%	-2.8%
TENB	-3.4%	-0.5%	-2.9%
SAIL	-0.9%		N/A
RDWR	-2.1%		N/A

Source: Jefferies Proprietary Security VAR Survey (Apr '26, Jan '26, Apr '25, Jan '25, N=25)

Microsoft Cyber: For our 1Q survey, 36% of respondents indicated that their Microsoft Cyber related business was performing above plan over the past three months (Jan through Mar) while 36% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 28%. This Q saw a decline in performance vs our 4Q survey at 50%, 38%, and 13% above, at, and below plan respectively (Chart 31).

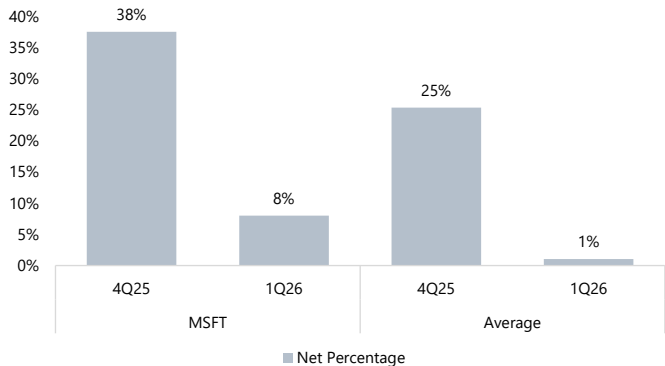
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 32, declined to 8% this quarter, though this is still above the average across all 16 vendors of positive 1% (note this drop was in line with the seasonality seen in 1Q25). Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 1.1% above plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. 1Q's 1.1% above plan is below MSFT's 2.6% above plan in the 4Q survey (this was modestly better than the seasonal drop in 1Q25; see Chart 33). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Neutral.**

Chart 31 - MSFT 1Q cyber business sentiment more negative vs 4Q



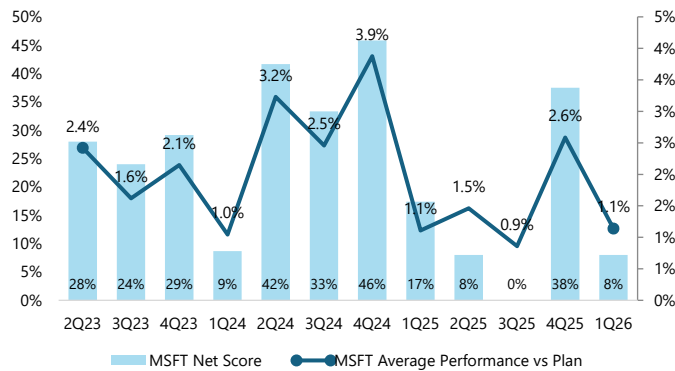
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=25), Jan '26 (N=24))

Chart 32 - 1Q Survey - MSFT Net Percentage: Above Plan - Below Plan = 8%; Worse than 4Qs 38%



Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=25), Jan '26 (N=24))

Chart 33 - MSFT Net Percentage & Average Performance Downtick in 1Q

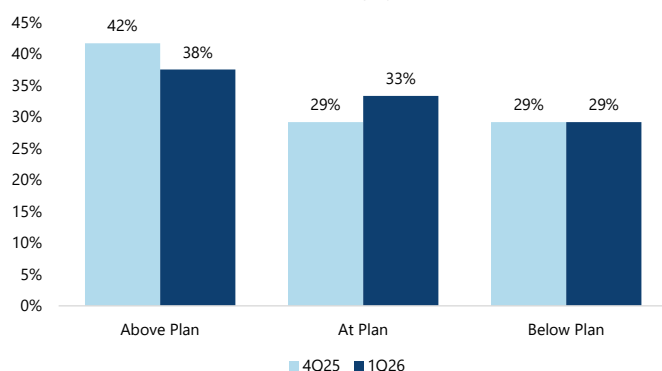


Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Fortinet: For our 1Q survey, 38% of respondents indicated that their Fortinet related business was performing above plan over the past three months (Jan through Mar) while 33% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 29%. This Q displayed similar momentum, with our 4Q survey at 42%, 29% and 29% above, at and below plan respectively (Chart 34).

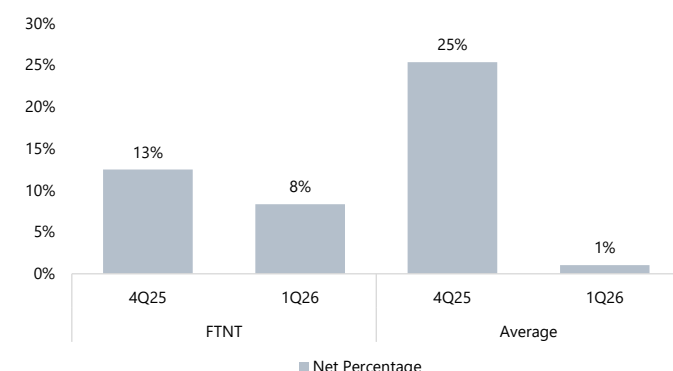
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 35, was positive 8% this quarter, is better than the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 0.5% below plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. The 0.5% below plan in 1Q is a decline from the 1.8% above plan for FTNT in our 4Q survey (this 230 bps qoq drop is also worse than the 70 bps decline seen in 1Q25; see Chart 36). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Mildly Negative.**

Chart 34 - FTNT 1Q business sentiment roughly in line vs 4Q



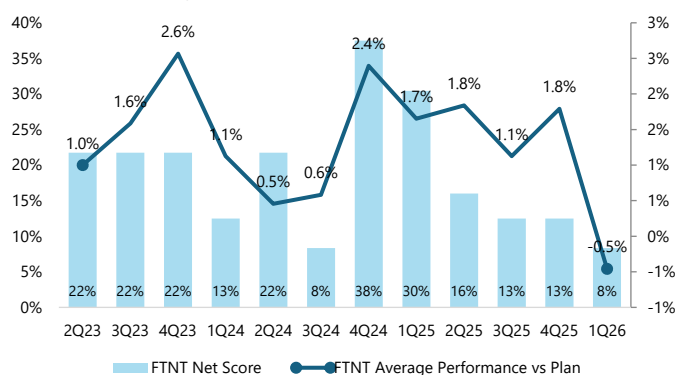
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=24), Jan '26 (N=24))

Chart 35 - 1Q Survey - FTNT Net Percentage: Above Plan - Below Plan = 8%; Stable QoQ



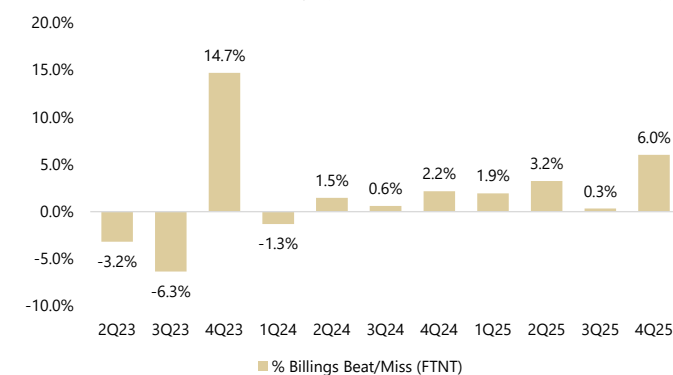
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=24), Jan '26 (N=24))

Chart 36 - FTNT Average Performance vs Plan Downticks In 1Q



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 37 - % Beat/Miss FTNT Billings (quarters correspond to chart on the left)

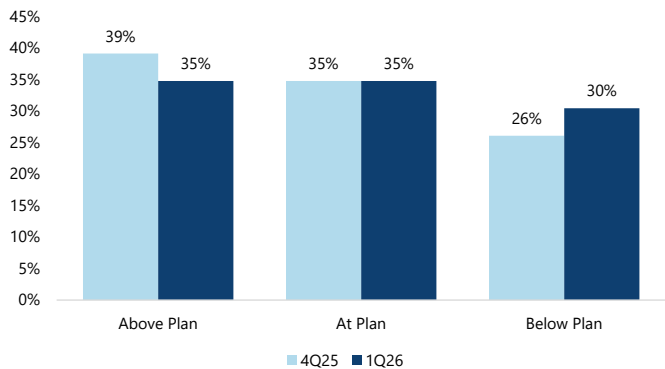


Source: Jefferies, FactSet

Check Point: For our 1Q survey, 35% of respondents indicated that their Check Point related business was performing above plan over the past three months (Jan through Mar) while 35% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 30%. This Q was appoximately in line with our 4Q survey at 39%, 35% and 26% above, at and below plan, respectively (Chart 38).

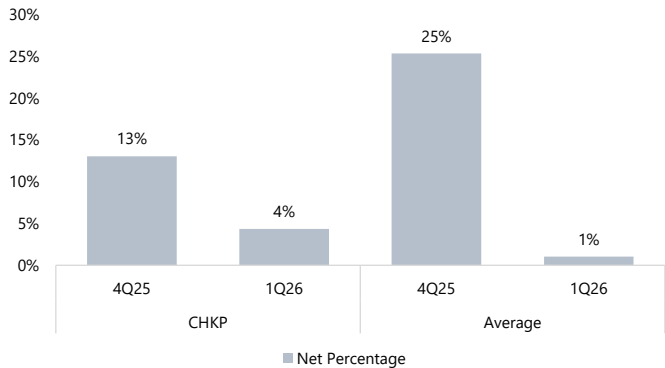
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 39 was positive 4% this quarter, which is above the average across all 16 vendors of positive 1% (though below CHKP's 13% in 4Q). Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average of 0.1% below plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. This 0.1% below plan in 1Q is below last Q's 1.3% above plan (Chart 40). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Mildly Negative.**

Chart 38 - CHKP 1Q business sentiment roughly in line with 4Q



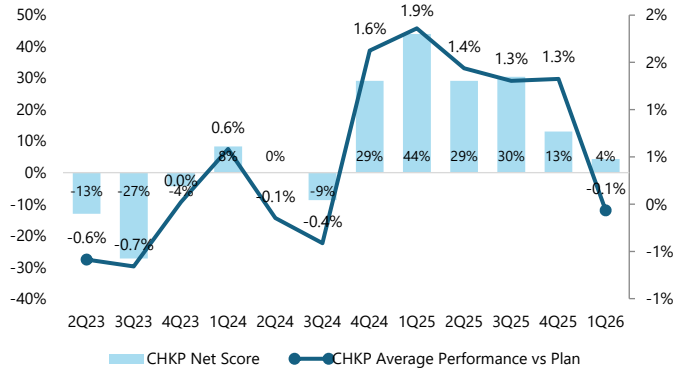
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=23), Jan '26 (N=23))

Chart 39 - 1Q Survey - CHKP Net Percentage: Above Plan - Below Plan = 4%; Modestly Worse Than the 13% it Saw in 4Q



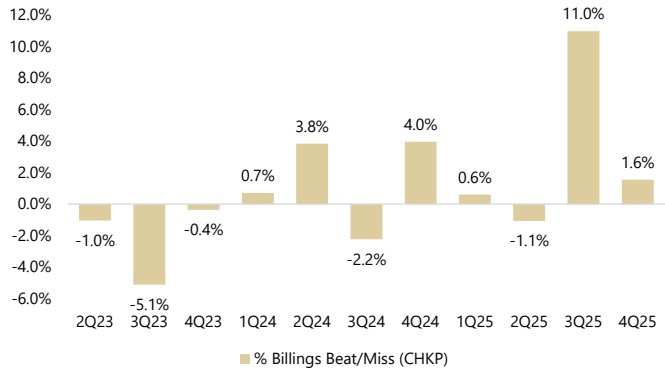
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=23), Jan '26 (N=23))

Chart 40 - CHKP Average Performance vs Plan Downticked in 1Q



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 41 - % Beat/Miss CHKP Billings (quarters correspond to chart on the left)

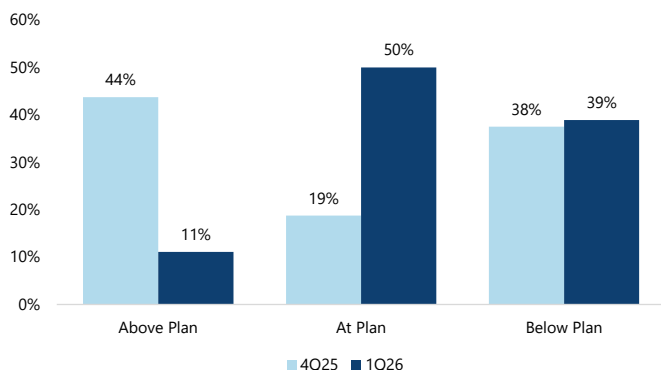


Source: Jefferies, Factset

Varonis: For our 1Q survey, 11% of respondents indicated that their Varonis related business was performing above plan over the past three months (Jan through Mar) while 50% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 39%. This Q was more negative than our 4Q survey at 44%, 19% and 38% above, at and below plan, respectively (Chart 42).

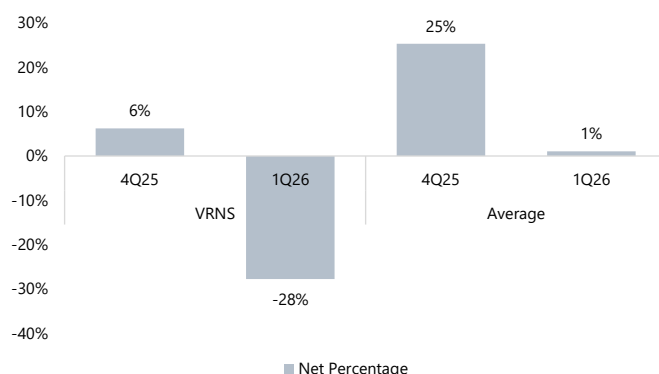
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 43, was negative 28% this quarter, which is below the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 1.1% below plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. This 1.1% below plan in 1Q is worse than in our 4Q survey where we tracked VRNS at 0.8% above plan. Note that this sequential drop of 190 bps is still better than the 340 bps drop seen in 1Q25 (Chart 44). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Neutral.**

Chart 42 - VRNS 1Q business sentiment less positive vs 4Q



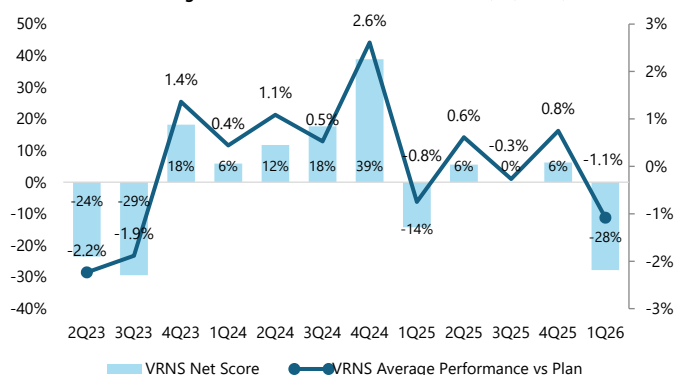
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=18), Jan '26 (N=16))

Chart 43 - 1Q Survey - VRNS Net Percentage: Above Plan - Below Plan = Down 28%; Declined QoQ



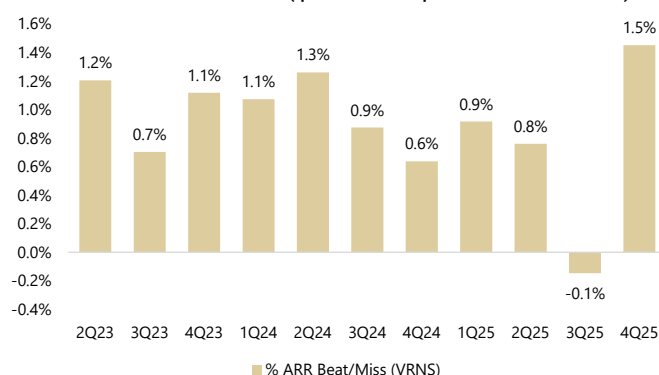
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=18), Jan '26 (N=16))

Chart 44 - VRNS Average Performance vs Plan Downticks QoQ in 1Q



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 45 - % Beat/Miss VRNS ARR (quarters correspond to chart on the left)



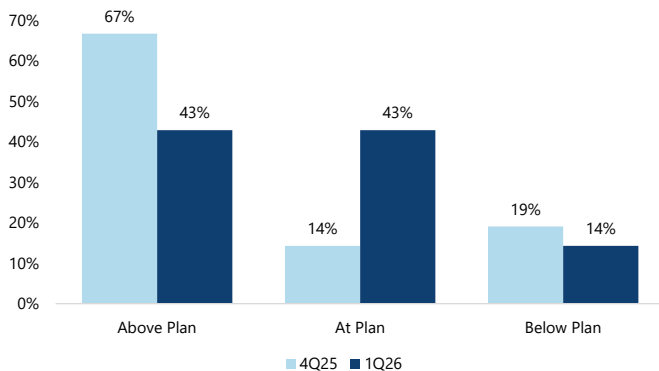
Source: Jefferies, Factset

Cloudflare: For our 1Q survey, 43% of respondents indicated that their Cloudflare related business was performing above plan over the past three months (Jan through Mar) while 43% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 14%. This compared to our 4Q survey at 67%, 14% and 19% above, at and below plan respectively (Chart 46).

The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 47, was positive 29% this quarter, which is above the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 2.1% above plan in 1Q which compares to the average of 0.4% above plan seen by all 16 vendors in this survey and just below the 2.5% above plan average we recorded for NET in 4Q (see Chart 48). While there was some moderation qoq, these results were significantly better than the sequential declines seen in 1Q25. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Positive**

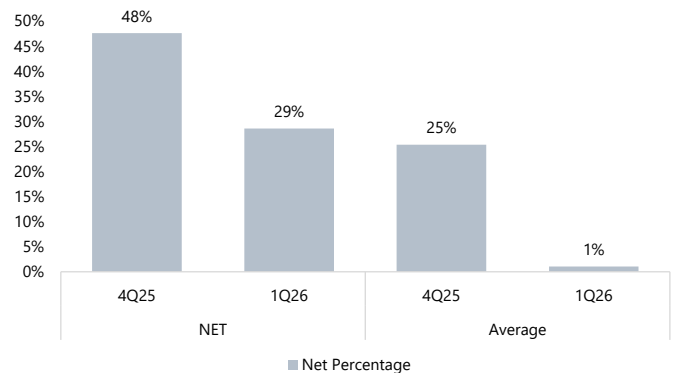
Note - The channel motion is newer and less relevant for Cloudflare, but we expect it to emphasize this motion more over time.

Chart 46 - NET 1Q business sentiment less positive vs 4Q



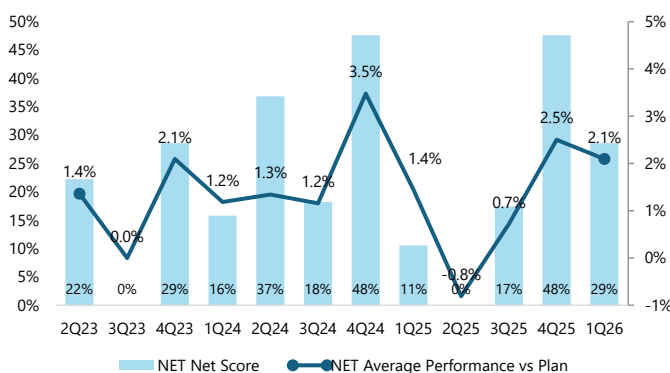
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=21), Jan '26 (N=21))

Chart 47 - 1Q Survey - NET's Net Percentage: Above Plan - Below Plan = 29%; Decline From 48% But Still Very Positive



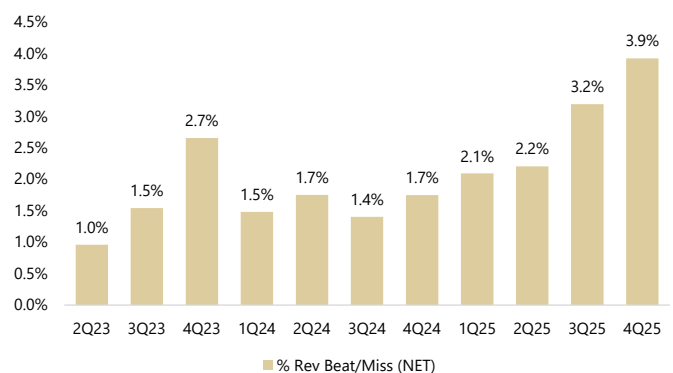
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=21), Jan '26 (N=21))

Chart 48 - NET's Average Performance vs Plan Roughly In-Line in 1Q



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 49 - % Beat/Miss NET Rev (quarters correspond to chart on the left)

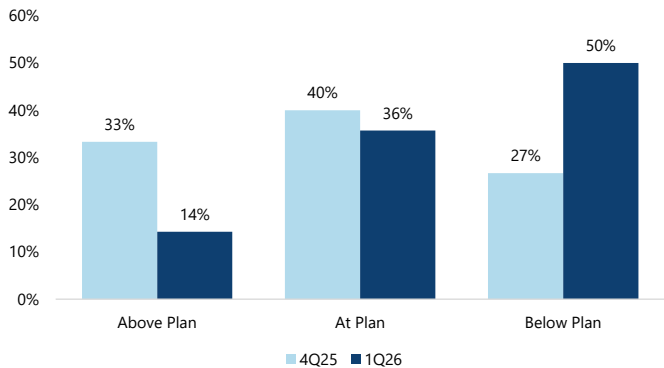


Source: Jefferies, Factset

Rapid7: For our 1Q survey, 14% of respondents indicated that their Rapid7 related business was performing above plan over the past three months (Jan through Mar) while 36% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 50%. This compared to our 4Q survey at 33%, 40% and 27% above, at and below plan respectively (Chart 50).

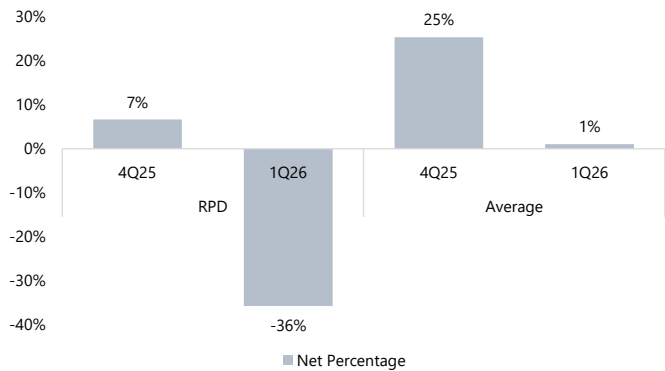
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 51, was negative 36% this quarter, which is well below the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 2.3% below plan which is below the average of 0.4% above plan seen by all 16 vendors in this survey. The 2.3% below plan in 1Q represents a decrease from the 1.9% above plan for RPD in our 4Q survey (Chart 52). This drop is significantly worse than the seasonal decline in 1Q25 as well. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Negative.**

Chart 50 - RPD 1Q business sentiment more negative vs 4Q



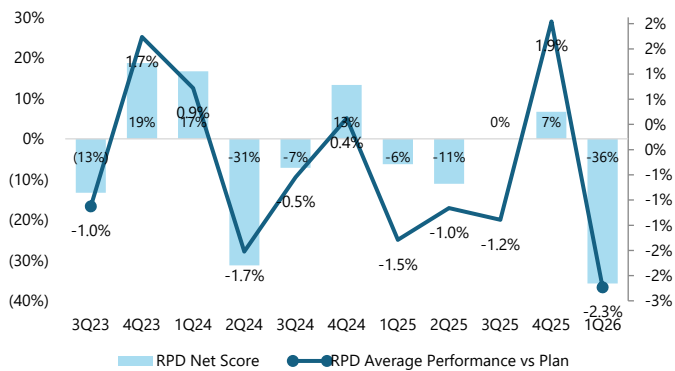
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=14), Jan '26 (N=15))

Chart 51 - 1Q Survey - RPD's Net Percentage: Above Plan - Below Plan = Down 36%; Below 4Qs 7%



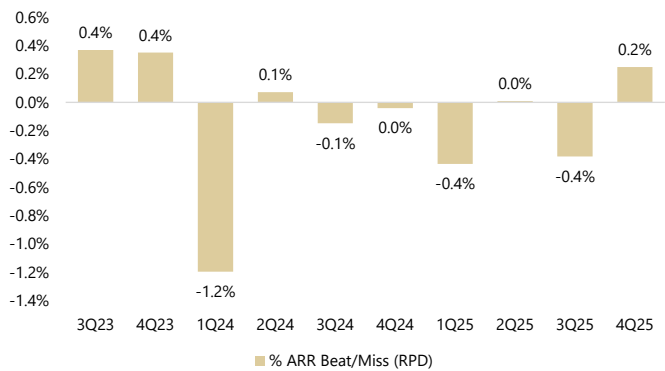
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=14), Jan '26 (N=15))

Chart 52 - RPD's Average Performance vs Plan - Large Decline in 1Q



Source: Jefferies Proprietary Security VAR Survey (Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 53 - % Beat/Miss RPD ARR (quarters correspond to chart on the left)

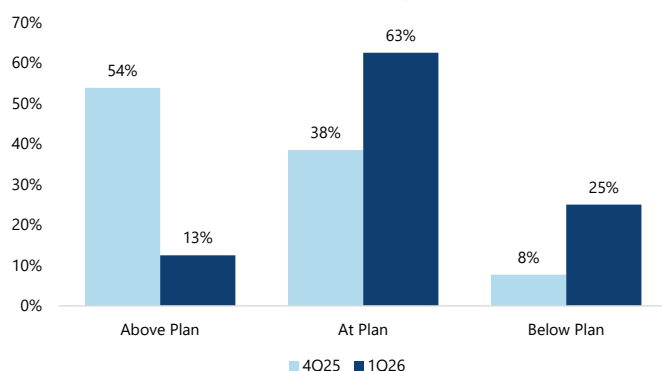


Source: Jefferies, Factset

Qualys: For our 1Q survey, 13% of respondents indicated that their Qualys related business was performing above plan over the past three months (Jan through Mar) while 63% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 25%. This compared to our 4Q survey at 54%, 38% and 8% above, at and below plan respectively (Chart 54).

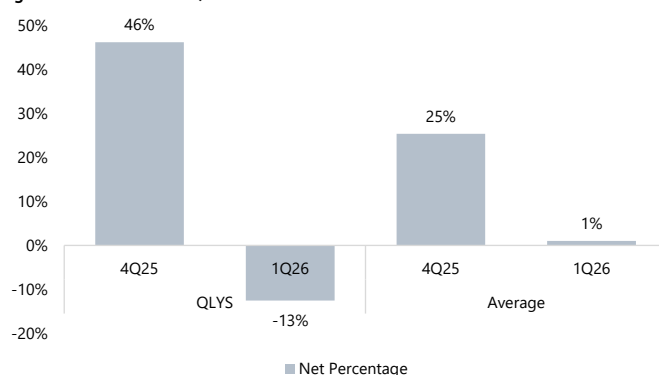
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 55, was negative 13% this quarter, which is below the average across all 16 vendors of positive 1% (but significantly down vs QLYS' positive 46% in 4Q). Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 0.4% below plan which is below the average of 0.4% above plan seen by all 16 vendors in this survey. The 0.4% below plan in 1Q represents a large qoq decline vs the 2.1% above plan for QLYS in our 4Q survey (Chart 56). This 250 bps decline sequentially is also worse than the 180 bps decline seen in 1Q25. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Mildly Negative.**

Chart 54 - QLYS 1Q business sentiment more negative vs 4Q



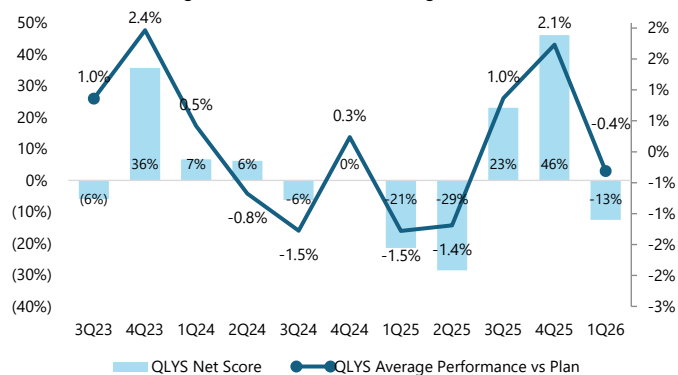
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=16), Jan '26 (N=13))

Chart 55 - 1Q Survey - QLYS' Net Percentage: Above Plan - Below Plan = Down 13%; Big Decline vs 46% in 4Q



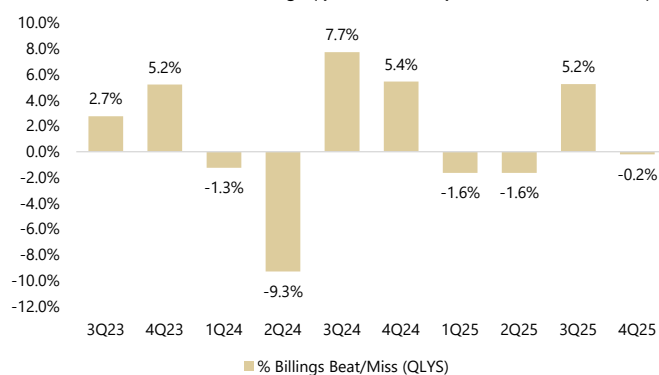
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=16), Jan '26 (N=13))

Chart 56 - QLYS Average Performance vs Plan - Large Decline in 1Q



Source: Jefferies Proprietary Security VAR Survey (Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 57 - % Beat/Miss QLYS Billings (quarters correspond to chart on the left)

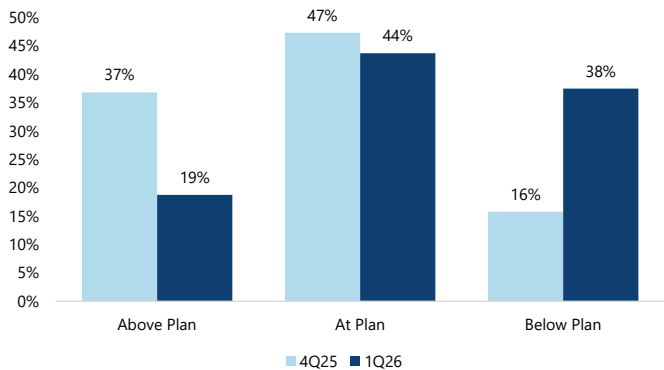


Source: Jefferies, Factset

Tenable: For our 1Q survey, 19% of respondents indicated that their Tenable related business was performing above plan over the past three months (Jan through Mar) while 44% said they were at plan. Meanwhile, the percentage of respondents that indicated performing below plan was 38%. This compared to our 4Q survey at 37%, 47% and 16% above, at and below plan respectively (Chart 58).

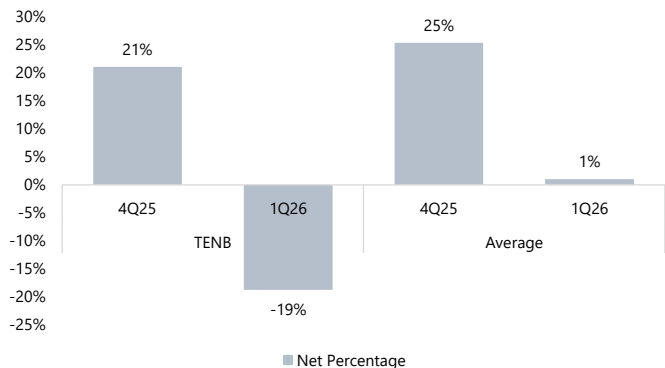
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 59, was negative 19% this quarter, which is below the average across all 16 vendors of positive 1% and TENB's 21% in 4Q. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 1.6% below plan which is below the average of 0.4% above plan seen by all 16 vendors in this survey. The 1.6% below plan in 1Q represents a decrease vs the 1.8% above plan for TENB in our 4Q survey (Chart 60). This drop is also worse than the seasonal decline seen in 1Q25. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Negative.**

Chart 58 - TENB 1Q business sentiment more negative vs 4Q



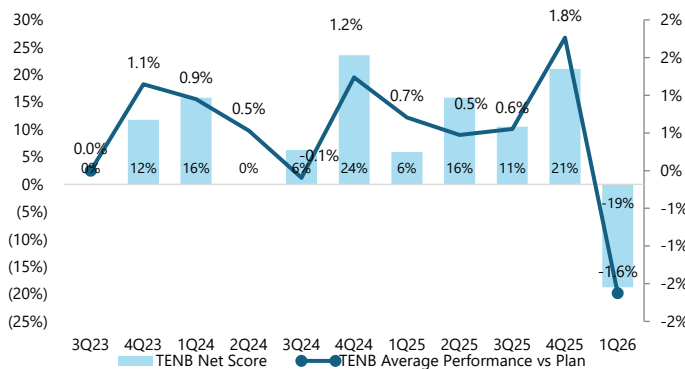
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=16), Jan '26 (N=19))

Chart 59 - 1Q Survey - TENB Net Percentage: Above Plan - Below Plan = Down 19%; Worse Than 4Q's 21%



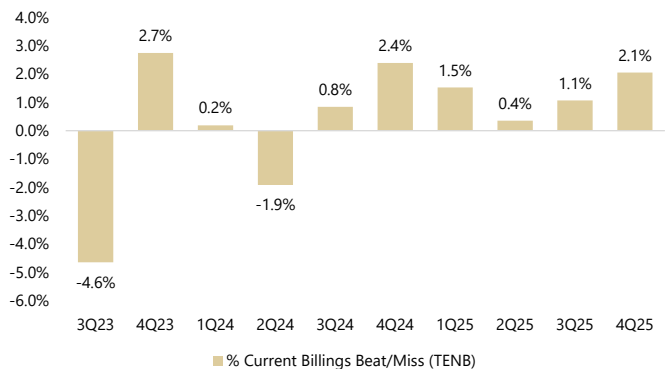
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=16), Jan '26 (N=19))

Chart 60 - TENB's Average Performance vs Plan Saw Large Downtick QoQ



Source: Jefferies Proprietary Security VAR Survey (Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 61 - % Beat/Miss TENB Billings (quarters correspond to chart on the left)

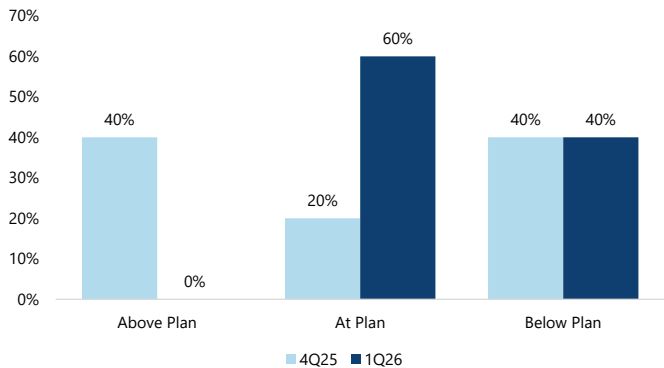


Source: Jefferies, Factset

Radware: For our 1Q survey, 0% of respondents indicated that their Radware related business was performing above plan over the past three months (Jan through Mar) while 60% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 40%. This compared to our 4Q survey at 40%, 20% and 40% above, at and below plan respectively (Chart 62).

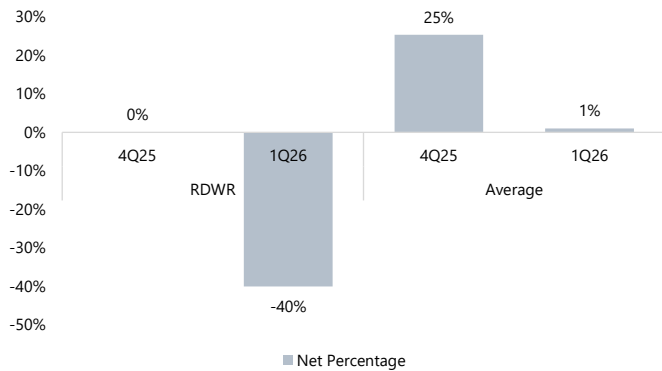
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 63, was negative 40% this quarter, which is below the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 2.1% below plan which is below the average of 0.4% above plan seen by all 16 vendors in this survey. The 2.1% below plan in our 1Q survey represents a decrease vs the flat performance to plan in our 4Q survey (Performance to plan is in-line with 1Q25; see Chart 64). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Negative.**

Chart 62 - RDWR 1Q business sentiment more negative vs 4Q



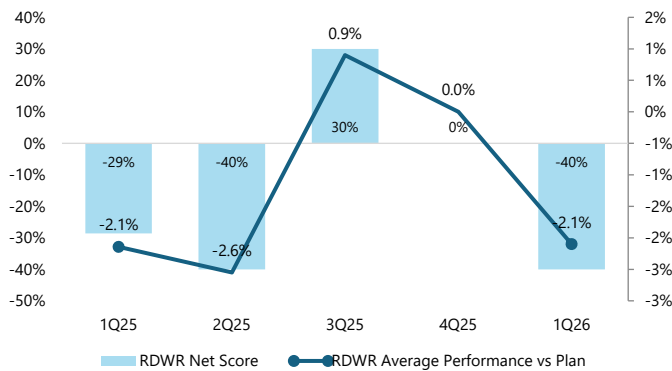
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=10), Jan '26 (N=10))

Chart 63 - 1Q Survey - RDWRs Net Percentage: Above Plan - Below Plan = Down 40%; Worse Than 4Qs Flat



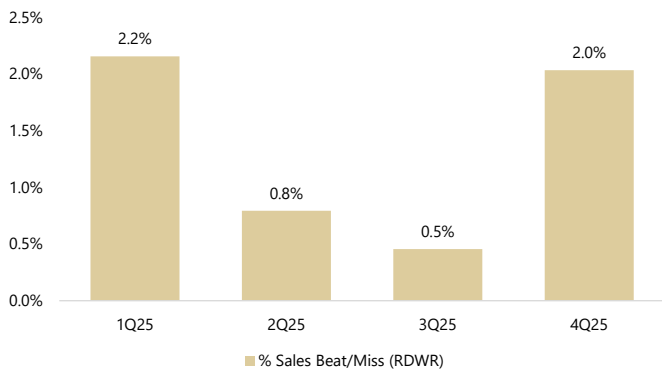
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=10), Jan '26 (N=10))

Chart 64 - RDWR's Average Performance Downticks QoQ in 1Q



Source: Jefferies Proprietary Security VAR Survey (Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 65 - % Beat/Miss RDWR Sales (quarters correspond to chart on the left)



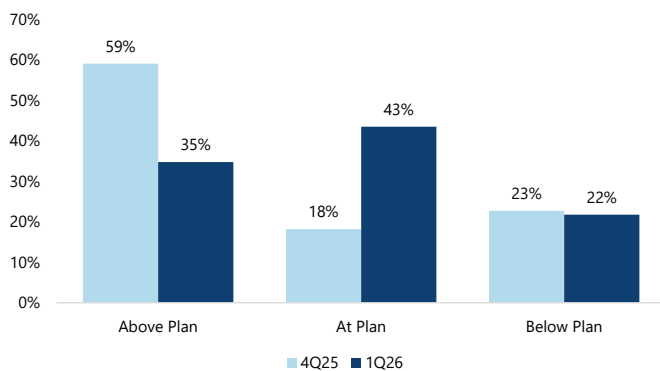
Source: Jefferies, Factset

Off Quarter Names - The remainder of the names we conducted a survey for are off Q meaning their quarter ends on April 30th while this survey was conducted early April. We think these results are important but also want to note the caveat that an outsized portion of new business is signed in the last few weeks of any enterprise software vendor's quarter.

CrowdStrike: For our 1Q survey, 35% of respondents indicated that their CrowdStrike related business was performing above plan over the past three months (Feb through Apr 6) while 43% said they were at plan. Meanwhile, 22% of surveyed partners indicated performing below plan. This compared to our 4Q survey at 59%, 18% and 23% above, at and below plan respectively (Chart 66).

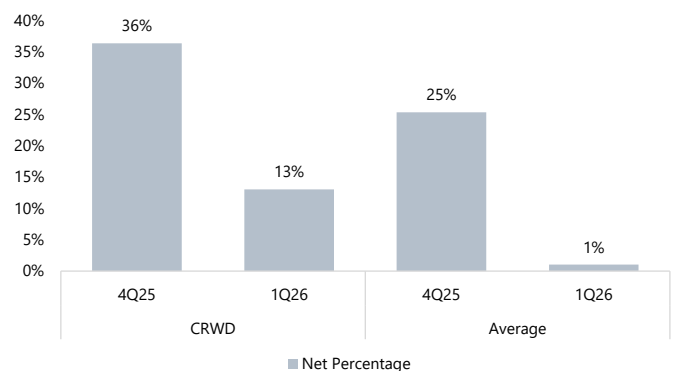
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 67, was 13% above plan so far this quarter, which is better than the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 2.6% above plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. This 2.6% above plan for 1Q is a decline from the 3.9% above plan in 4Q (Chart 68). While this was worse than the sequential decline seen in 1Q25, seasonality was skewed last year given the IT incident overhang. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Neutral.**

Chart 66 - CRWD 1Q business less positive vs 4Q



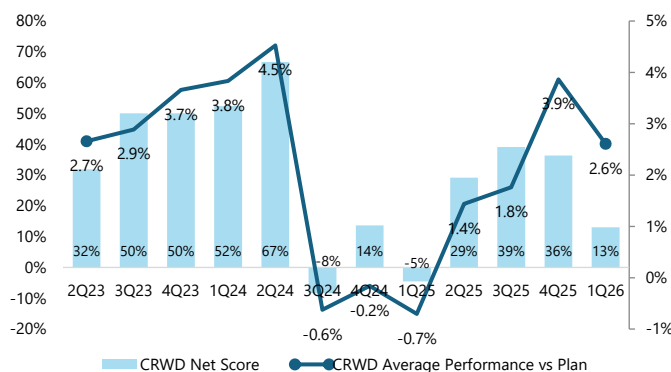
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=23), Jan '26 (N=22))

Chart 67 - 1Q Survey - CRWD's Net Percentage: Above Plan - Below Plan = 13%; Below 4Q's 36%



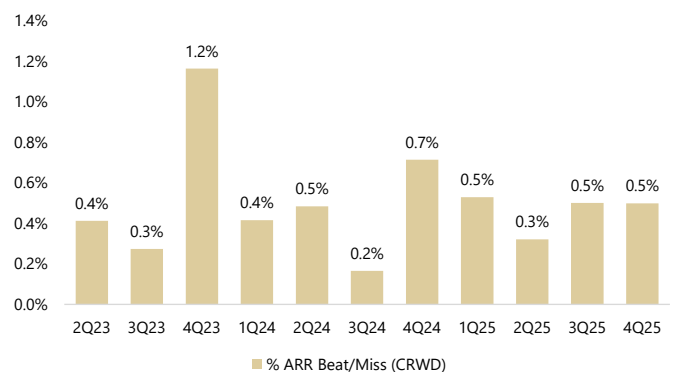
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=23), Jan '26 (N=22))

Chart 68 - CRWD's Average Performance vs Plan Sees Modest Downtick in 1Q



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 69 - % Beat/Miss CRWD ARR (quarters correspond to chart on the left)

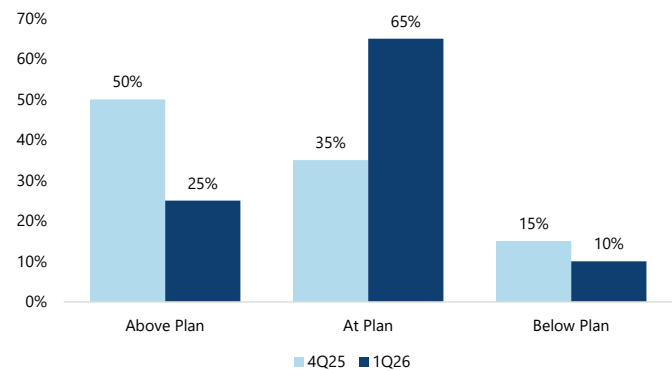


Source: Jefferies, Factset

SentinelOne: For our 1Q survey, 25% of respondents indicated that their SentinelOne related business was performing above plan over the past three months (Feb through Apr 6) while 65% said they were at plan. Meanwhile, the percentage of respondents that indicated performing below plan was 10%. This compared to our 4Q survey at 50%, 35% and 15% above, at and below plan respectively (Chart 70).

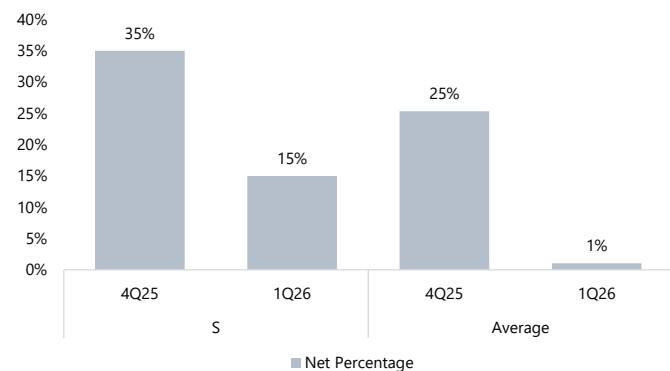
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 71, was 15% above plan so far this quarter, which is above the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 1.4% above plan which is above the average of 0.4% above plan seen by all 16 vendors in this survey. This 1.4% in 1Q above plan compares to 4Q's results of 1.5% above plan (Chart 72). This performance was better than the seasonality shown in 1Q25 and also significantly better than the qoq performance seen by most vendors in our survey. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Positive.**

Chart 70 - S 1Q business sentiment modestly less positive vs 4Q



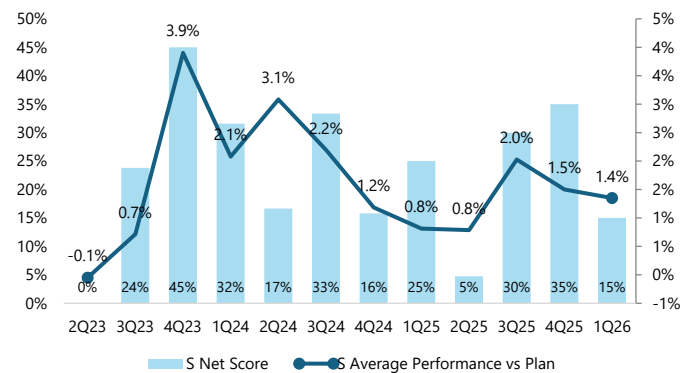
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=20), Jan '26 (N=20))

Chart 71 - 1Q Survey - S' Net Percentage: Above Plan - Below Plan = 15%; Below 4Qs 35%



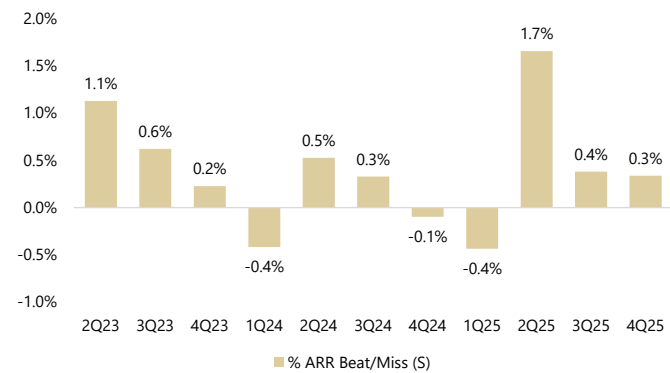
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=20), Jan '26 (N=20))

Chart 72 - S' Average Performance vs Plan In-Line With 4Q



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 73 - % Beat/Miss S ARR (quarters correspond to chart on the left)

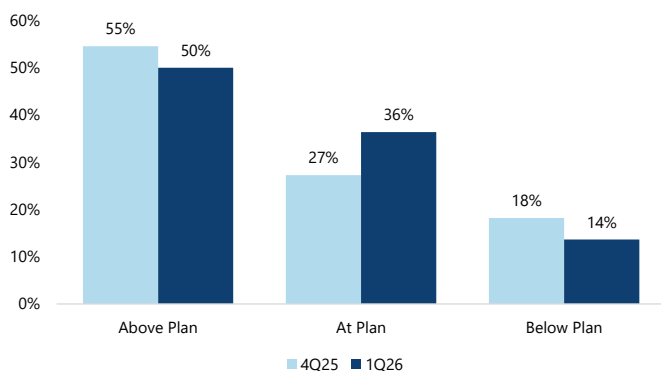


Source: Jefferies, Factset

Zscaler: For our 1Q survey, 50% of respondents indicated that their Zscaler related business was performing above plan over the past three months (Feb through Apr 6) while 36% said they were at plan. Meanwhile, the percentage of respondents that indicated performing below plan was 14%. This compares to our 4Q survey at 55%, 27% and 18% above, at and below plan respectively (Chart 74).

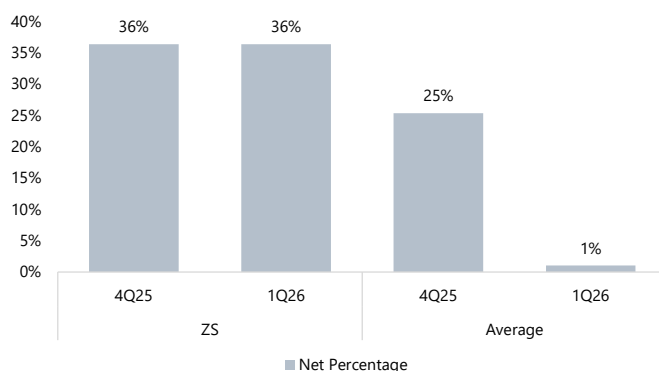
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 75, was 36% above plan so far this quarter, which is above the average across all 16 vendors of positive 1% (and in line with 4Q's 36%). Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 2.3% above plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. This 2.3% above plan in 1Q compares to 3.0% above plan in the 4Q survey (see Chart 76). The sequential decline of 70 bps was better than 1Q25's 110 bps which is a modest positive. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Mildly Positive.**

Chart 74 - ZS 1Q business sentiment in line vs 4Q



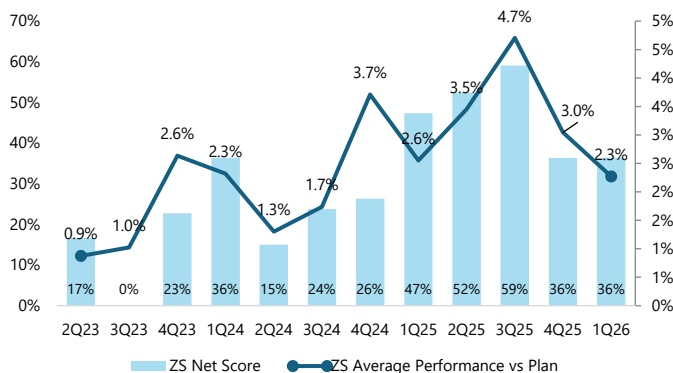
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=22), Jan '26 (N=22))

Chart 75 - 1Q Survey - ZS' Net Percentage: Above Plan - Below Plan = 36%; In Line With 4Q



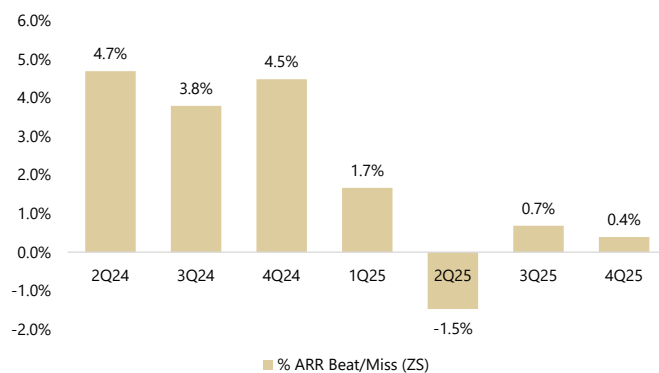
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=22), Jan '26 (N=22))

Chart 76 - ZS' Average Performance vs Plan Sees Better Than Seasonal Decline



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 77 - % Beat/Miss ZS ARR (quarters correspond to chart on the left)



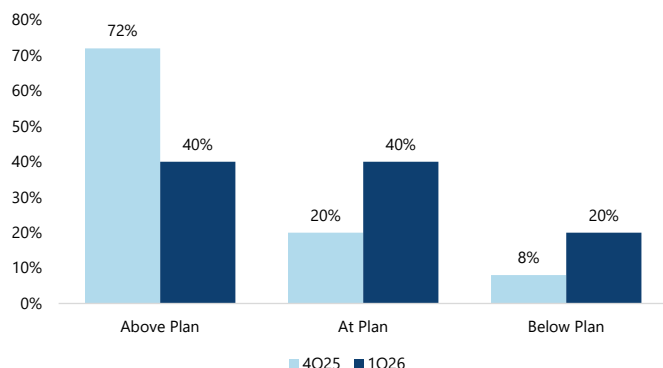
Source: Jefferies, Factset

Palo Alto Networks: For our 1Q survey, 40% of respondents indicated that their Palo Alto Networks related business was performing above plan over the past three months (Feb through Apr 6) while 40% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 20%. This compares to our 4Q survey at 72%, 20%, and 8% above, at, and below plan respectively (Chart 78).

The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 79, was positive 20% so far this quarter, which is above the average across all 16 vendors of positive 1% (but well below PANW's 4Q 64%). Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 1.8% above plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. This 1.8% above plan for 4Q is below PANW's 5.2% above average in 4Q (Chart 80). This sequential decrease is also significantly worse than seen in the prior 2 years. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business.

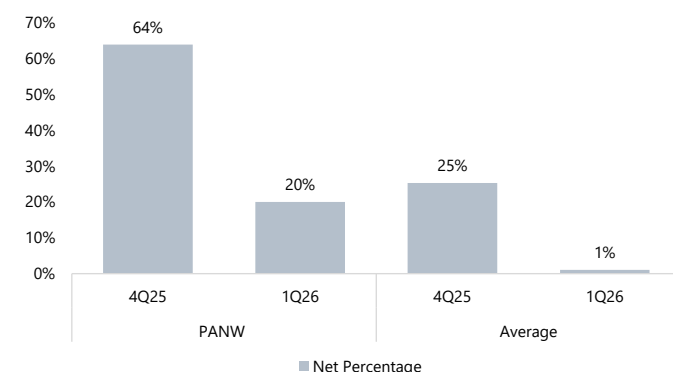
Net Negative.

Chart 78 - PANW 1Q business sentiment less positive vs 4Q



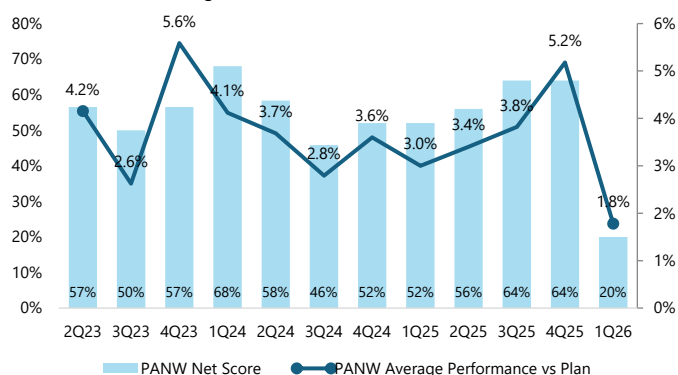
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=25), Jan '26 (N=25))

Chart 79 - 1Q Survey - Net Percentage: Above Plan - Below Plan = 20%; Below 4Q's 64%



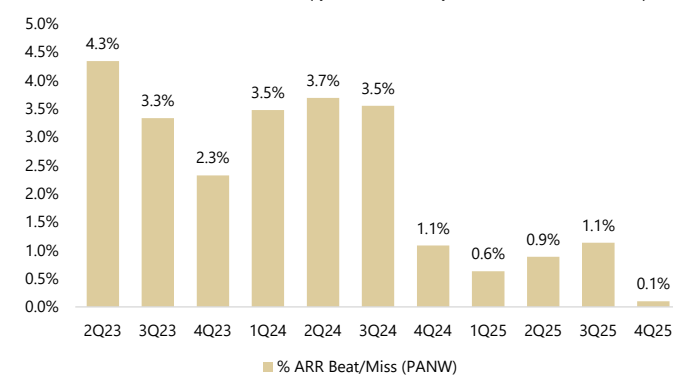
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=25), Jan '26 (N=25))

Chart 80 - PANW's Average Performance vs Plan - Downticks QoQ



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 81 - % Beat/Miss PANW ARR (quarters correspond to chart on the left)

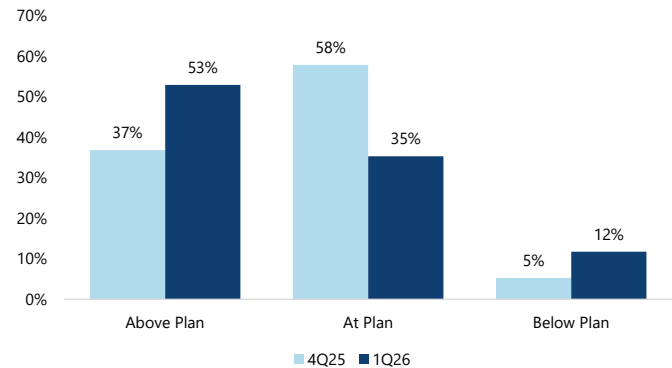


Source: Jefferies, Factset

CyberArk: For our 1Q survey, 53% of respondents indicated that their CyberArk related business was performing above plan over the past three months while 35% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 12%. This compared to our 4Q survey at 37%, 58% and 5% above, at and below plan respectively (Chart 82).

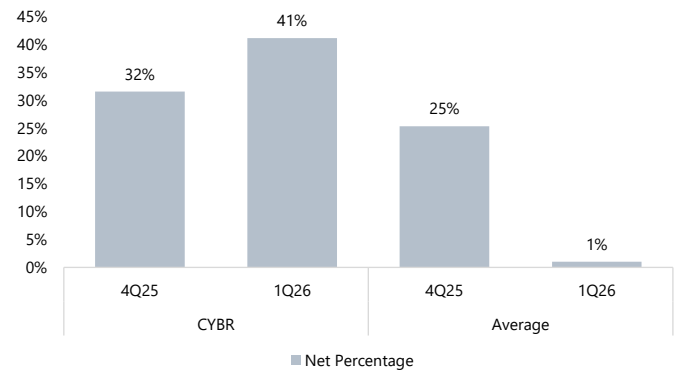
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 83, was positive 41% this quarter, which is above the average across all 16 vendors of positive 1% (also above CyberArk's 32% in 4Q). Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 3.8% above plan which is well above the average of 0.4% above plan seen by all 16 vendors in this survey. The 3.8% above plan in 1Q represents an improvement vs the 1.7% above plan for CyberArk in our 4Q survey (Chart 84). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Positive (for PANW who acquired CyberArk).**

Chart 82 - CyberArk 1Q business sentiment more positive vs 4Q



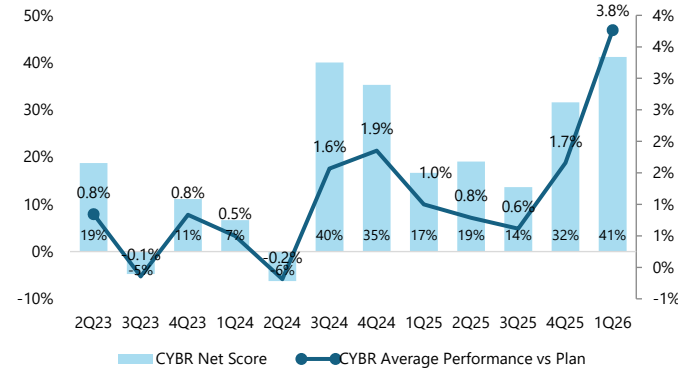
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=17), Jan '26 (N=19))

Chart 83 - 1Q Survey - CyberArk Net Percentage: Above Plan - Below Plan = 41%; Better Than 4Qs 32%



Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=17), Jan '26 (N=19))

Chart 84 - CyberArk's Average Performance vs Plan Upticks in 1Q

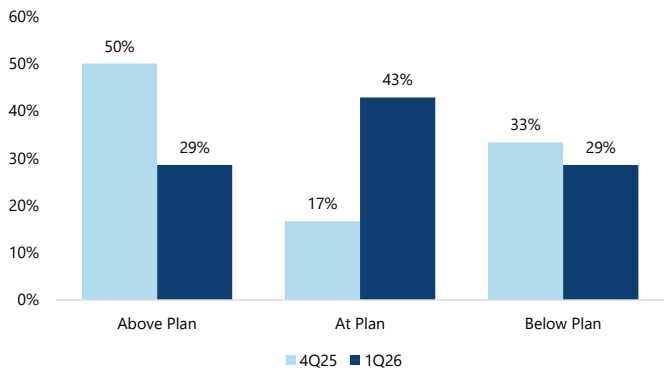


Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

SailPoint: For our 1Q survey, 29% of respondents indicated that their SailPoint related business was performing above plan over the past three months (Feb through Apr 6) while 43% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 29%. This compared to our 4Q survey at 50%, 17%, and 33% above, at and below plan respectively (Chart 85).

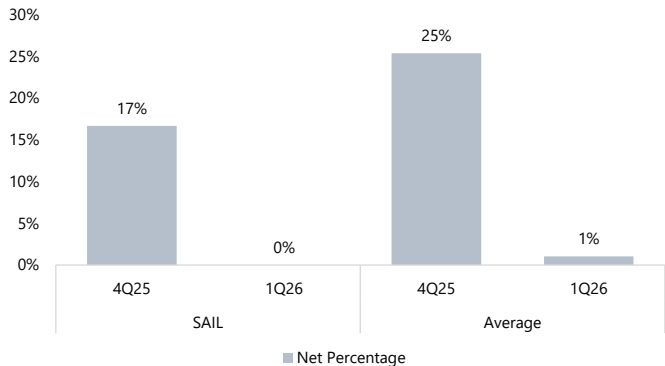
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 86, was flat versus plan this quarter, which is roughly in line with the average across all 16 vendors of positive 1% (but below SAIL's 17% in 4Q). Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 0.0% above plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. The 0.0% above plan in 1Q is below the 0.9% above plan for SAIL in our 4Q survey. Note that given limited historical data, we can not compare the seasonal trend vs 1Q25 (see Chart 87). Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Neutral.**

Chart 85 - SAIL 1Q business sentiment less positive vs 4Q



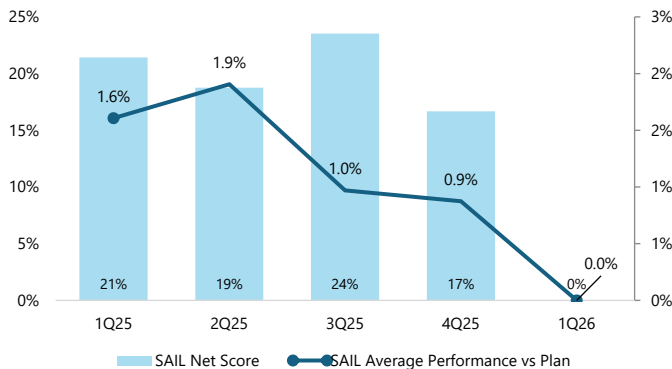
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=14), Jan '26 (N=12))

Chart 86 - 1Q Survey - SAIL's Net Percentage: Above Plan - Below Plan = 0%; Below 4Q's 17%



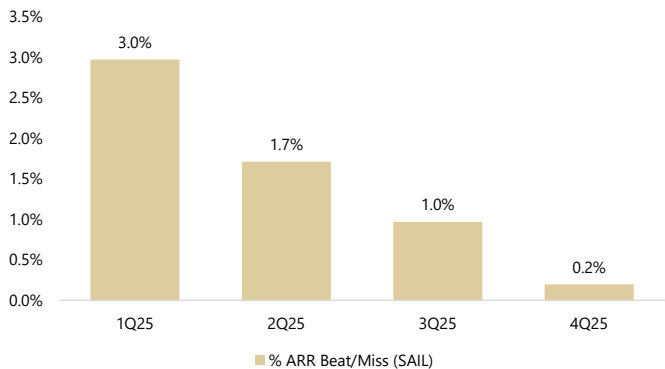
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=14), Jan '26 (N=12))

Chart 87 - SAIL's Average Performance Modestly Downticked in 1Q QoQ



Source: Jefferies Proprietary Security VAR Survey (Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 88 - % Beat/Miss SAIL ARR (quarters correspond to chart on the left)

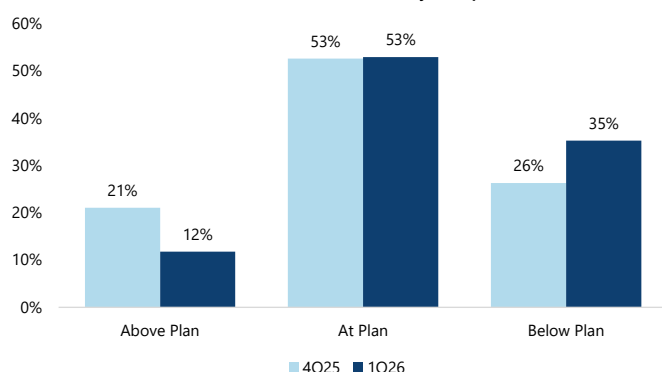


Source: Jefferies, Factset

Okta: For our 1Q survey, 12% of respondents indicated that their Okta related business was performing above plan over the past three months (Feb through Apr 6) while 53% said they were at plan. Meanwhile, the percentage of surveyed partners that indicated performing below plan was 35%. This compares to our 4Q survey at 21%, 53% and 26% above, at and below plan respectively (Chart 89).

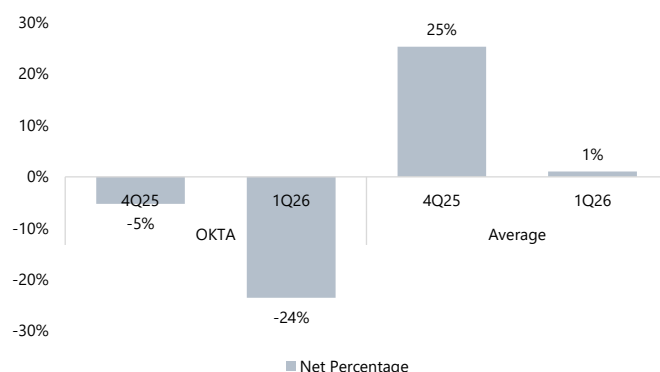
The net percentage, which we calculate as the total percentage above plan minus the total percentage below plan, see Chart 90, was down 24% so far this quarter, which is below the average across all 16 vendors of positive 1%. Alternatively, if we dissect the responses relative to plan and assume the average rate for each bucket (above, below and at plan), we derive an average 1.0% below plan which compares to the average of 0.4% above plan seen by all 16 vendors in this survey. This 1.0% below plan in 1Q is below the 0.3% above plan in our 4Q survey (see Chart 91). This 130 bps sequential decrease vs 4Q is only modestly worse than the seasonality seen in 1Q25. Again, remember this does not weigh by VAR size but is a framework for which to gauge momentum in the business. **Net Neutral.**

Chart 89 - OKTA 1Q business sentiment moderately less positive vs 4Q



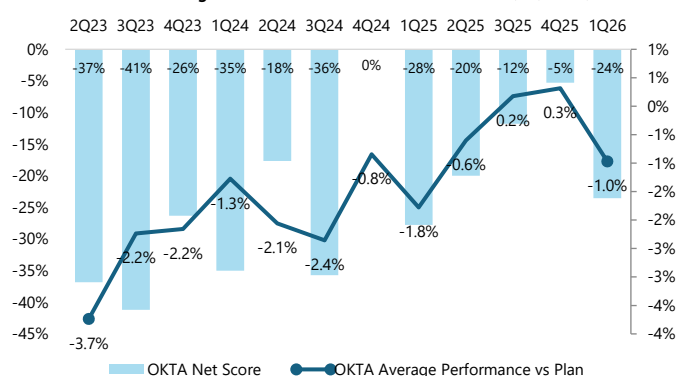
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=17), Jan '26 (N=17))

Chart 90 - 1Q Survey - Net Percentage: Above Plan - Below Plan = (24%); Worse Than 4Qs Down 5%



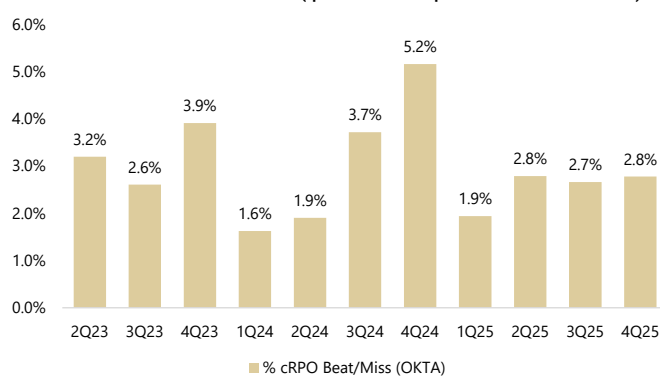
Source: Jefferies Proprietary Security VAR Survey (Apr '26 (N=17), Jan '26 (N=17))

Chart 91 - OKTA's Average Performance vs Plan Downticked QoQ in 1Q



Source: Jefferies Proprietary Security VAR Survey (Jul '23, Oct '23, Jan '24, Apr '24, Jul '24, Oct '24, Jan '25, Apr '25, Jul '25, Oct '25, Jan '26, Apr '26)

Chart 92 - % Beat/Miss OKTA CRPO (quarters correspond to chart on the left)



Source: Jefferies, Factset

Company Valuation/Risks

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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Company Specific Disclosures

Rayyan Matraji owns shares of Amazon.com common stock.

Steven DeSanctis owns shares of Amazon.com common shares.

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- Alphabet, Inc. (GOOGL: \$337.12, BUY)
- Amazon.com, Inc (AMZN: \$248.50, BUY)
- Check Point Software Technologies Ltd. (CHKP: \$134.69, BUY)
- Cloudflare, Inc. (NET: \$190.13, HOLD)
- CrowdStrike Holdings, Inc. (CRWD: \$411.16, BUY)
- Fortinet (FTNT: \$79.64, HOLD)
- International Business Machines Corporation (IBM: \$244.80, BUY)
- Microsoft Corporation (MSFT: \$411.22, BUY)
- Okta Inc (OKTA: \$67.35, BUY)
- Palo Alto Networks (PANW: \$164.11, BUY)
- Qualys, Inc. (QLYS: \$85.17, HOLD)
- Radware Ltd. (RDWR: \$24.91, HOLD)

- Rapid7, Inc. (RPD: \$5.76, HOLD)
- SailPoint Inc. (SAIL: \$11.76, BUY)
- SentinelOne, Inc. (S: \$13.26, BUY)
- Tenable Holdings, Inc. (TENB: \$18.93, HOLD)
- Varonis Systems, Inc. (VRNS: \$23.14, BUY)
- Zscaler, Inc. (ZS: \$131.01, BUY)

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2182	62.09%	366	16.77%	110	5.04%
HOLD	1172	33.35%	101	8.62%	15	1.28%
UNDERPERFORM	160	4.55%	1	0.62%	1	0.62%

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